17 July 2026


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European Chemicals

Air Products & Chemicals Inc

Rating

Outperform

Price Target

APD **345.00 USD**

Air Products: Sustainable above-consensus EPS growth, even including NEOM

Air Products has the lowest valuation of the industrial gas majors, and also the highest recent EPS growth. This makes it attractive on paper - hence we write this report. In our view, growth can be at least in line with management's plan and sell side consensus, and therefore the punishment of the multiple will become increasingly unjustified as APD continuesfollowing the industrial gas model and delivering results. We rate APD Outperform with a PT of $345.00.

We think the base business can deliver the +HSD EPS growth promised by management sustainably. This EPS growth framework was based on roughly 3% contributions each from pricing and productivity, base volumes, and projects, plus an additional 1% from share buybacks once the balance sheet deleverages. We see the numerical contributions a little differently, but we are confident that APD can deliver 9–10% annual EPS growth through 2030, supported by ongoing cost initiatives, attractive exposure to electronics and space, and easing helium headwinds.

Our conservative c. -1% per annum NEOM EPS headwind doesn't spoil the party. We have built our own proprietary NEOM model, available on request. Assuming that APD / Yara (if the agreement completes) can market 75% of the volumes with a green premium, we expect a c. -$0.20 / 1% annual headwind to EPS over 2027-29, which turns positive from 2030 as the TotalEnergies offtake commences. We add this NEOM headwind to our model and still forecast EPS ahead of consensus over 2027-2029.

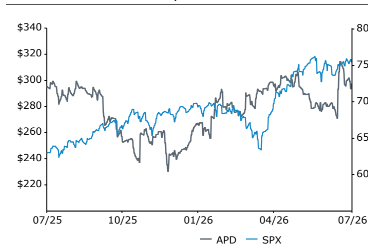
We believe the valuation multiple gap versus industrial gas peers is unfair. Thanks to APD's culture change, we believe they will continue to follow the industrial gas strategy diligently, and therefore deliver commensurate returns. If they do so, the case for the current valuation gap versus Linde, and particularly Air Liquide (c. 20% vs. c. 5% historical average) looks less strong. An additional catalyst would be increased capital return, possibly in connection with any cash inflows after the Darrow cancellation.

Close Date	16 Jul 2026
APD Close Price (USD)	297.29
Price Target (USD)	345.00
Upside/(Downside)	16%
52-Week Range	314.87/229.11
SPX	7,533.77
FYE	Sep
Div Yield	2.4%
Market Cap (USD) (M)	66,201
EV (USD) (M)	86,108

Performance	YTD	1M	6M	12M
Absolute (%)	20.4	5.5	11.1	1.3
SPX (%)	10.1	0.3	8.6	20.3
Relative (%)	10.3	5.2	2.6	(19.0)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We rate Air Products Outperform. We add the NEOM impact to the outer years of our model, cutting EPS in 2027 through 2029 but raising 2030 EPS by $0.84. Our price target remains $345.00.

Adjusted EPS	F25A	F26E	F27E
APD (USD)	12.07	13.28	**14.50**
OLD	--	--	14.64

Financials	F25A	F26E	F27E	CAGR
EBIT (M)	2,865	3,162	3,506	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	24.6	22.4	20.5
EV/EBITDA (x)	17.0	15.9	14.7

Source: Bloomberg, Bernstein estimates and analysis.

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DETAILS

PM SUMMARY

The quest for double-digit EPS growth. As per our December 2025 Long View, the industrial gas stocks tend to work well when they are producing double-digit EPS growth. Soon after his appointment in 2025, Air Products (APD) CEO Eduardo Menezes set out a 5-year roadmap for returning APD to double-digit EPS growth (Exhibit 1). A 40+-year veteran of the industrial gas sector through a decorated career at Praxair and subsequently Linde, Menezes sought to simplify the Air Products strategy, in line with the density and discipline model first made famous at Praxair (see The Bernstein Industrial Gases Primer: How the industry structure can support long-term outperformance). When explaining this strategy, Menezes has used the 3+3+3+1 framing. We quote Menezes to explain further:

"I'm internally trying to make it very simple to our people so they remember that, as I say that the equation is very simple. It's 3 plus 3 plus 3 plus 1. So 3% on that price plus productivity minus inflation I talked about, 3% from new projects, and 3% from growth on the volumes, on industrial production and market share or whatever, and 1% on share buyback. Those are the exact numbers, not really, right? So it's a little plus or minus 1% there. So normally we try to get a little more than 3% on price and productivity. The contribution from projects is a little lumpy. So normally 2% to 3%. And the industrial production is something we can't control. But normally industrial gases, I tell people that I'm in this industry for 40 years. And when I started the largest customers were the steel customers, 20 years ago became the chemical and refining customers. Today our largest customers are the electronic customers, right, the chip manufacturers, right? So the industry evolves and, of course, the opportunities for the usage of industrial gases, it's always changing and improving. So I think we with that profile, we have everything to do in our base volume a little bit better than industrial production. So that's the mindset we need to have, and that's the numbers. In the first few years for our products, with the cash situation that we have, we cannot afford to do the buyback of shares. So -- But we hope after the wave of these projects, that will be part of our capital deployment."

Air Products CEO Eduardo Menezes, Competitor conference

Give or take ± a percentage point here and there, we summarise this as:

- 3% productivity and price
- 3% base volumes
- 3% new project volumes
- 1% buyback when the balance sheet is less stressed

This EPS growth framework reminds us of Linde's 8–12% EPS long term growth range. This range was established during the March 1, 2019 business update following the merger with Praxair, and it was intended to define the company's long-term ambition for adjusted EPS growth. The medium-term framework is roughly split in two: about half of the growth is expected to come from pricing and productivity (including mix improvement, margin expansion, and cost initiatives), while the other half is driven by capital deployment (new projects coming onstream and share buybacks). At that time, CEO Eduardo Menezes was serving as Executive Vice President of Linde plc for EMEA, where he was responsible for implementing this framework. Linde EMEA today has the highest margins in the Linde group.

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EXHIBIT 1: **Air Products' 5-year strategic roadmap**

Unlocking earnings potential: 5-year journey

	As of today	Improve core / Re-focus CapEx (2026-2029)	Achieve potential (approx. 2030+)
	– High quality base obscured by underperforming projects – Committed to our A/A2 rating	– Unlock base earnings through significant margin improvement – Optimize underperforming projects	– Strong base growth – NEOM / Darrow offsetting underperforming projects
*Adjusted EPS**	$11.90 - $12.10 FY25 Forecast	High single-digit annual growth	Double-digit annual growth
*Adjusted Op. Margin**	24% FY25 Forecast	High 20's	~30's
*Adjusted ROCE**	10% FY25 Forecast Cash and Construction in Progress ~(500)bps	Low-to-mid-teens Cash and Construction in Progress ~(500)bps	Mid-to-high-teens
Net Cash Flow	Significant capital to fund projects	Net cash-flow neutral-to-positive	Net cash-flow positive
Cash to Shareholders	Continued dividend increases	Dividends and share buybacks	Dividends and share buybacks

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* Earnings potential for 2026 and beyond does not include economic growth or impacts of energy cost pass through.

Non-GAAP financial measure. Management is unable to reconcile, without unreasonable efforts, the Company's forecasted range of adjusted operating margin, return on capital employed or adjusted EPS to a comparable GAAP range.

AIR PRODUCTS

Source: APD 3QFY25 Earnings Presentation

We believe this is the right overall strategy... As per our recent primer (The Bernstein Industrial Gases Primer: How the industry structure can support long-term outperformance), we see the Praxair density and discipline approach that all three of Linde, Air Liquide and Air Products are now following as key to the sector-wide value creation seen over the last decade or so. We therefore support the strategy pivot, led by Mantle Ridge Capital, Menezes and Board Vice-Chair Dennis H. Reilley. We also believe the company have identified the key levers for execution and that they are the right way to go about approaching the strategy - controlling costs, maintaining capital discipline for new projects, optimising the existing footprint and maintaining the value creation framework which has been so successful for the broader industrial gas industry.

... although the components could be more like 5.5+1.5+2.5+1%. Starting from our FY26E estimates, we analysed the individual contribution of each component of EPS growth and summarise our findings in Exhibit 2. We expect pricing and productivity to contribute around +5.5% to EPS growth. For base volumes, while we anticipate improvements in line with our primer, we remain cautious and assume no more than a +1.5% contribution to EPS. However, we see strong support from project-driven growth, particularly in Electronics, which comprises a significant part of our 4% volume growth forecast for the Americas and Asia. We also see a long-term opportunity in space, even though it is a small business today (see The Long View: The Industrial Gas space opportunity - rocket fuel for growth).

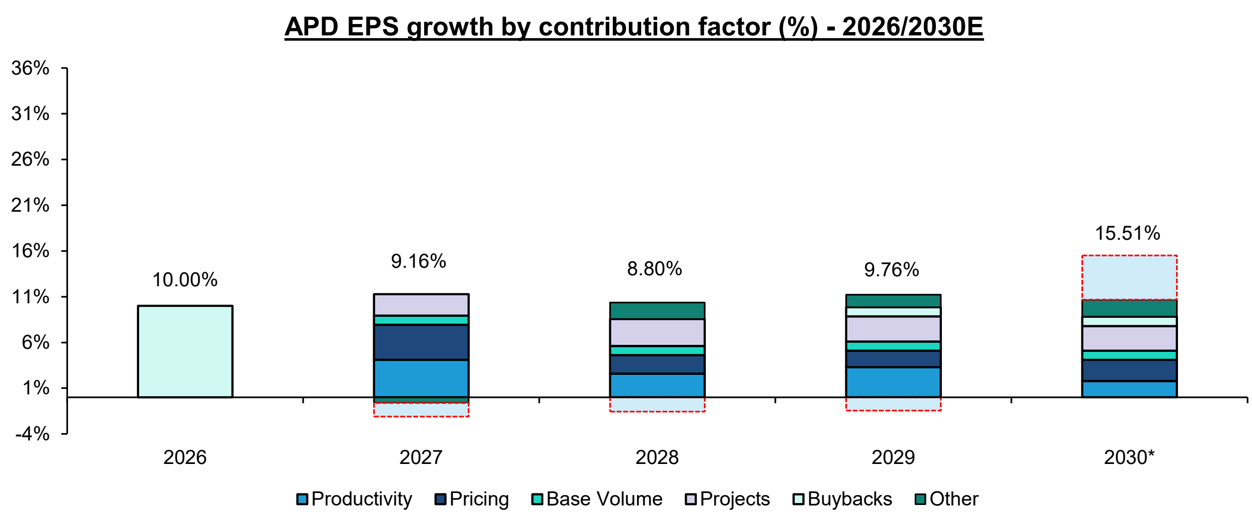
As a mitigating factor, we model NEOM as a c.$20c / -1% EPS drag through 2027-2029, before contributing positively once the TotalEnergies offtake begins in 2030. We have made a detailed model for the NEOM project, both of the JV and Air Products' offtake, which is available on request. We expect the JV to make a typical industrial gas 10.6% IRR for the project, and therefore a positive contribution to profitability. However, the ability of APD to generate a return on the offtake depends on their ability (and Yara's if an agreement is reached) to sell the volumes for a green premium. With the trajectory for green hydrogen demand and regulation uncertain in the near-term, as our base case we model that APD / Yara sell 75% of the volumes as a green premium, with the other 25% at a grey price from our ammonia supply / demand model. This leads to an average annual EPS headwind of c. $0.20 across 2027-29. Once the TotalEnergies hydrogen offtake kicks in, which we believe has more conventional industrial gas economics, NEOM turns to a net positive on EPS under the same 75-25% green-grey split as less of the volume is sold at a grey price. We model the breakeven % as 85% green, and if APD / Yara can sell all the volumes with a green premium, then average EPS upside is c. $0.35 / 2.5% per annum. **Our NEOM model is available upon request.**

Even factoring a small headwind from NEOM, we see higher EPS growth than consensus through the rest of the decade. This could lead to 13.5% compounding share price returns. We model higher EPS growth than consensus for

APD, even though we adjust our model to include a headwind from NEOM (Exhibit 3). If we are right, we believe the stock can re-rate closer to industrial gas peers, in particular Air Liquide. A 25x P/ E multiple on our 2029 EPS of $17.31 implies 13.5% annual returns and for reference Air Liquide trades at 26.2x at time of writing. We also see risk-reward skewed positively. In the bull case we could see 12% compounding EPS growth from 2027 (1%-point better base volumes, 2%-point more project growth from semis and space, no NEOM headwind) valued at 27x, close to Air Liquide all-time highs, which delivers a 19.4% 3-year return CAGR. And the bear case: a return to the historical 25th percentile valuation of 19x P/E with 6% compounding EPS (1%-point lower productivity, base volumes and project growth) achieves a share price of $300, effectively flat to the shares at time of writing (Exhibit 4).

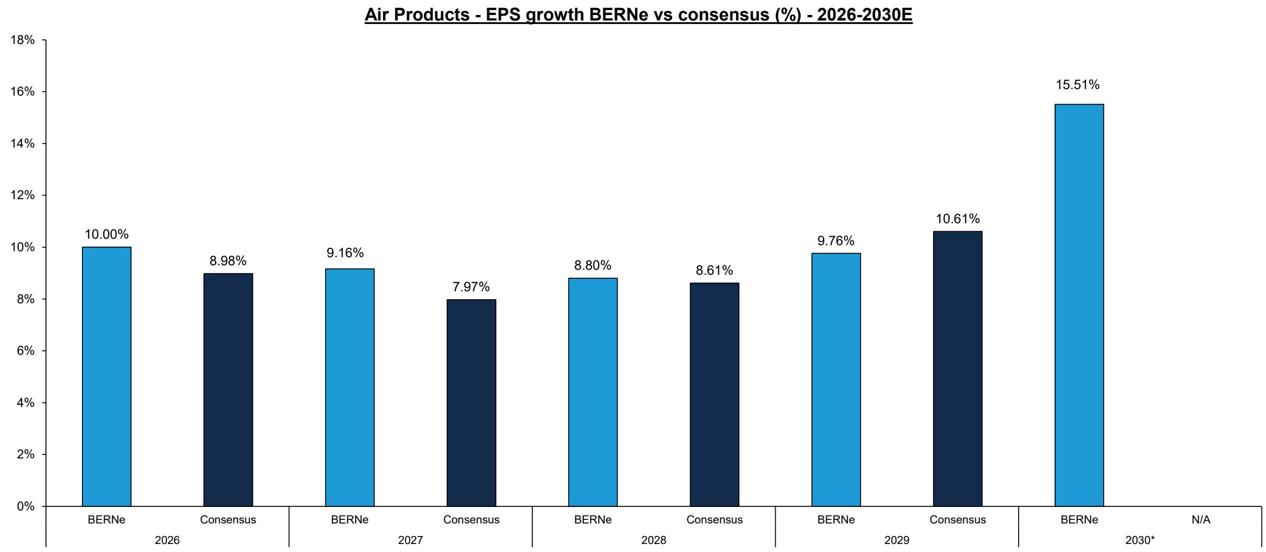
Can Air Products execute this? This is still a question investors ask. Air Products has a challenging recent track record, marked by project cost overruns and, at times, questionable capital allocation decisions. We believe that any successful turnaround will need to be as much cultural as operational. We have conviction in Air Products' cultural change (see Bernstein SDC: Air Products Takeaways and Quick Take: Air Products cancels Darrow & 3QFY26 update), and this underpins our Outperform rating. We deliberately use the word "if" throughout this report, as execution remains uncertain. That said, this uncertainty also creates the valuation opportunity. **If Air Products can maintain its current trajectory, then +HSD EPS compounding, combined with a narrowing of the valuation gap relative to peers, could result in significant shareholder value creation.**

EXHIBIT 2: **We see strong contribution from pricing and productivity, and from NEOM when the offtake with TotalEnergies start to contribute**



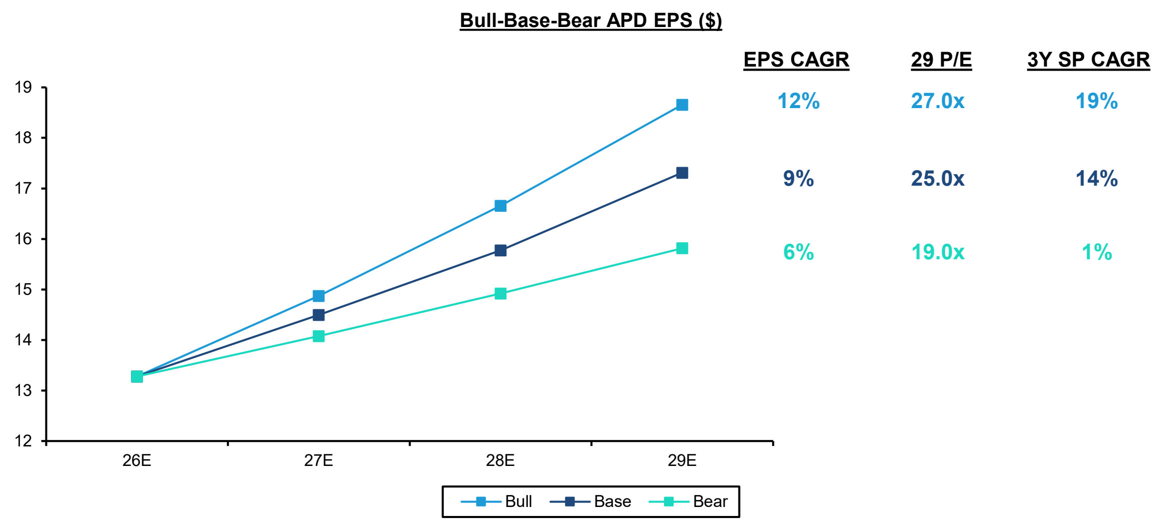
Source: Company information, Bernstein analysis and estimates

EXHIBIT 3: **We sit above consensus on EPS growth through 2028**



*2030 consensus is an average of 4 values including 2 null values and our estimates
Source: Company information, Bloomberg, Bernstein analysis and estimates

EXHIBIT 4: **We see a path to very solid share price returns from APD**



Source: Company information, Bernstein analysis and estimates

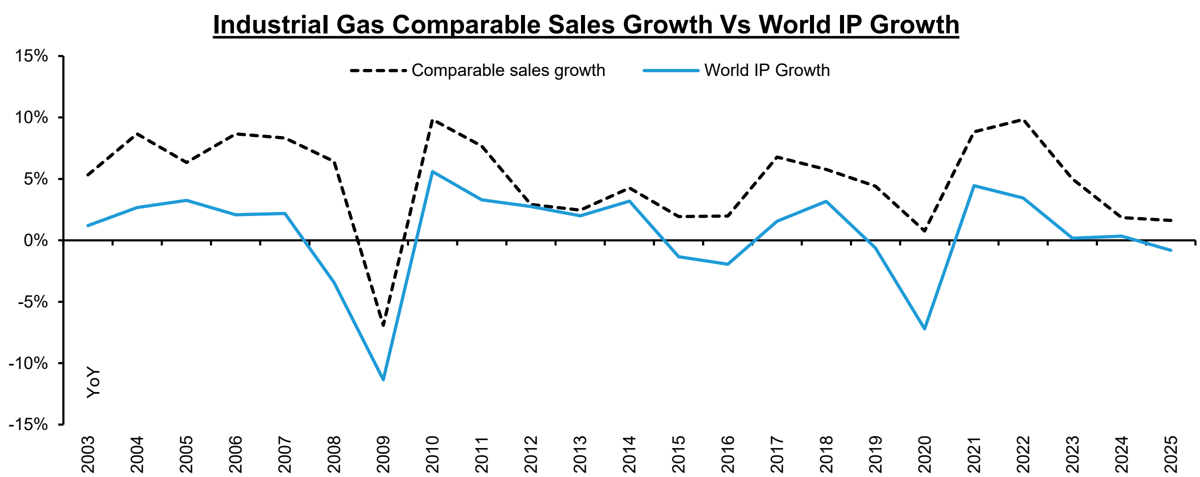
1.5% FROM BASE VOLUME GROWTH

There is a correlation between IP growth and industrial gases' underlying growth. As per our long view (see The Bernstein Industrial Gases Primer: How the industry structure can support long-term outperformance), organic growth for the gas majors' tends to track and modestly outpace the world's IP growth (Exhibit 5). Particularly, we observe a reasonable correlation with IP growth and volume growth for Air Liquide and Linde, as Air Products has been more of an outlier in recent years (Exhibit 6 and Exhibit 7). As Air Products refocus away from the megaprojects, however, we would expect this relationship to hold across all three major players.

The outlook for IP growth remains subdued in the near term, but we see some improvements. Based on the latest data from our forecasts, IP growth is currently trending at around 2%, indicating a gradual recovery (Exhibit 8). As highlighted in our primer, a shift in base volumes from negative to positive territory would help to return to approximately 5% organic growth, a level we view as attractive for the sector over the long term.

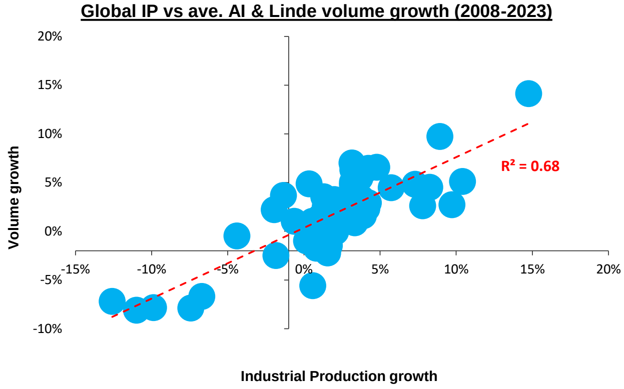
That said, achieving volume growth of 2% could be challenging in the context of the Middle East conflict. The current situation remains uncertain and even if there is a near-term resolution, which would be supportive, any normalisation is likely to be gradual. As such, we remain cautious on base volumes (see Chemicals: Specialty or Commodity, with potentially tough times in between). Reflecting this uncertainty, we model approximately a 1.5% contribution to EPS growth from volumes with Americas and Asia growing 1.75%, and Europe 1.0%.

EXHIBIT 5: **The gas majors' comparable growth has historically outpaced IP growth**



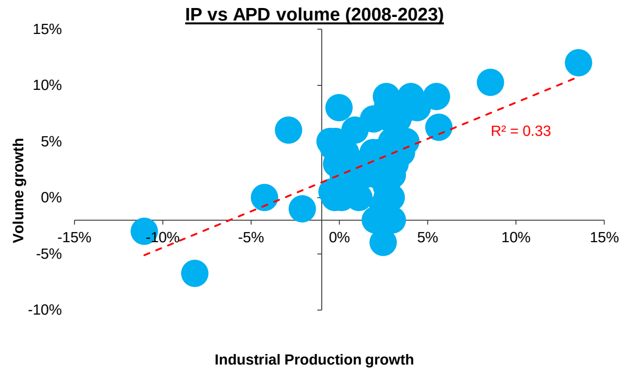
Source: Air Liquide, Air Products, Linde for historical data, Bernstein analysis and estimates

EXHIBIT 6: **We find there is a reasonable correlation between industrial production growth and the volume growth of the "traditional" gas majors**



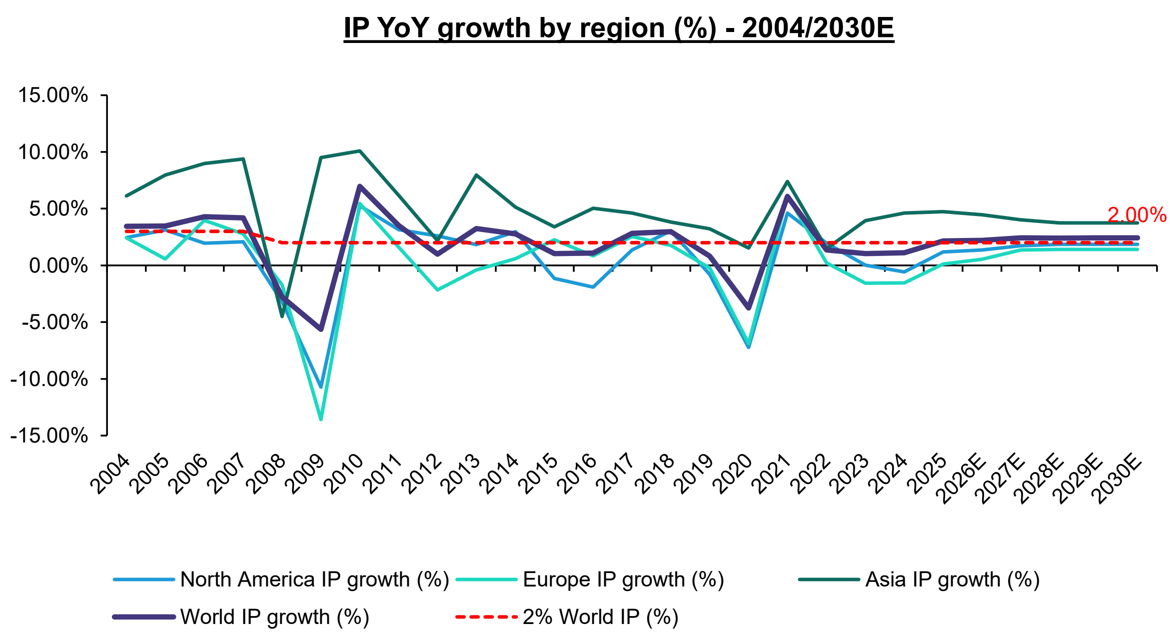
Source: Haver, company information, Bernstein analysis

EXHIBIT 7: **The relationship breaks with Air Products as a result of undertaking the megaprojects in our view. We suspect that fundamentally the relationship would have been the same otherwise**



Source: Haver, company information, Bernstein analysis

EXHIBIT 8: **World IP growth is pointing towards 2%**



Source: IMF, Bloomberg, Bernstein analysis and estimates

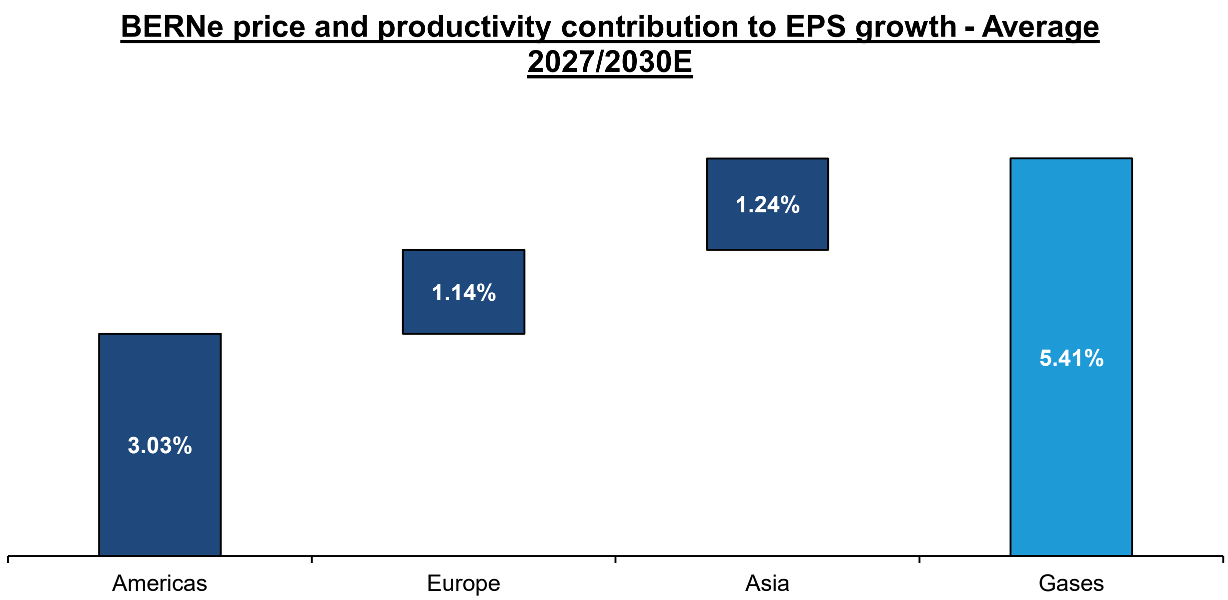
2.5% FROM PRICING AND 3% FROM PRODUCTIVITY

"Again, we worked on try to have our pricing productivity offsetting our inflation by 3% to 4%. That's the goal, right? So, it depends a lot on the power pass-through and everything else. But the goal is always have this equation of price plus productivity minus inflation to give us a 3%, 4% gain in the -- in our sales line. It's very tough, it's a lot of fights to get there, but that's the objective, and that's what we push for."

Air Products CEO Eduardo Menezes, Competitor conference

We think Menezes is being modest in this quote above - there is clearly a strong lever to pull from price and productivity in our view. Pricing is a key element for the gas majors as they are usually able to price above inflation, but more importantly the cost savings initiatives that the company has started should continue to be delivered as a result of the change of culture at Air Products. Overall, we expect the company to deliver 5.4% EPS growth coming from price and productivity (Exhibit 9)

EXHIBIT 9: **We expect +5.4% EPS growth contribution from price and productivity**



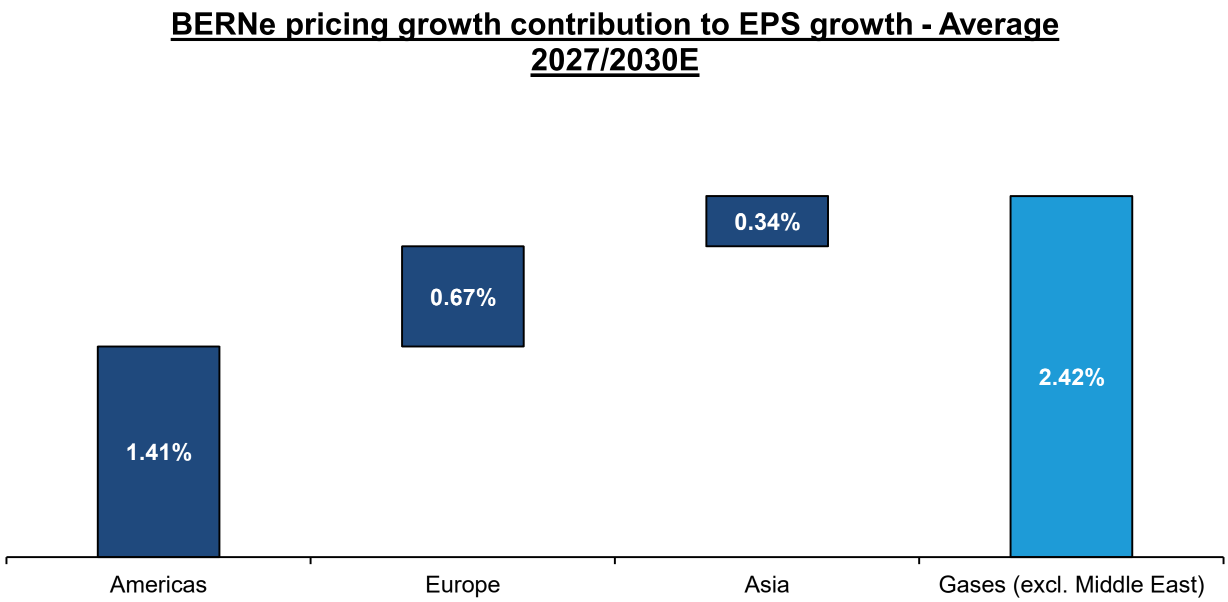
Source: Company information, Bernstein analysis and estimates

~2.5% FROM PRICING

Pricing growth should at least follow inflation on the long term (Exhibit 10). We illustrate the resilience of pricing growth for the gas majors in Exhibit 11 to Exhibit 13. Air Products' pricing has however collapsed in recent years with helium headwinds (Exhibit 14). We still expect some near-term helium pricing pressure to persist since the contracts are locked in. However, as outlined in our primer (see The Bernstein Industrial Gases Primer: How the industry structure can support long-term outperformance), the long-term industrial gases' algorithm remains at above 2% pricing growth in our estimates. We show in Exhibit 15 the IMF World inflation forecast adjusted for high inflation countries which point towards 2.5% inflation. We acknowledge that inflation might structurally stay higher than Air Products pricing given weak pricing in Asia and some long-term helium contracts. Therefore, we estimate Air Products' pricing growth at c.2% on average through 2027/2030. In our estimates, this translates into c.2.5% EPS growth contribution from pricing.

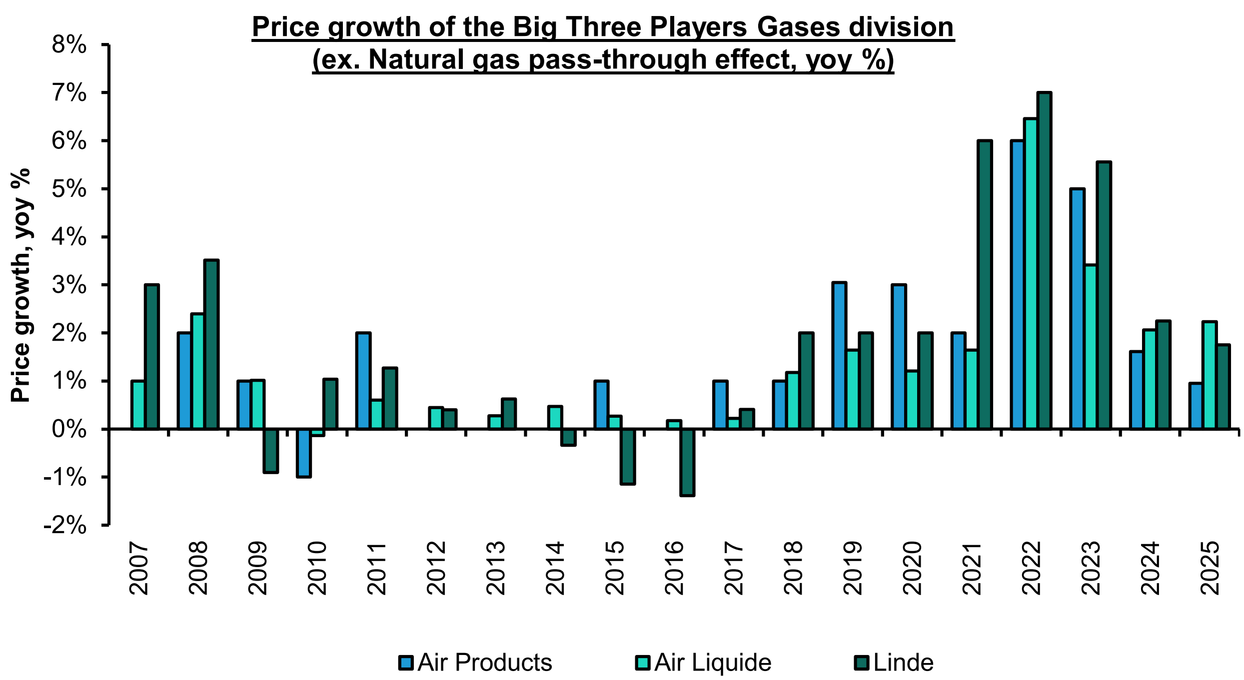
We see stronger pricing dynamics in the Americas and Europe, where we forecast c.2.5% and c.2% pricing from 2027E to 2030E respectively. In Asia, we expect more modest pricing of around 1% in the long term (Exhibit 15), with helium headwinds starting to vanish but still present on the near term as low prices have been contracted. However, as they secured long term agreements with customers in the semiconductors space at higher price, we expect the helium impact to become neutral (see Global Industrial Gases & Semis: Assessing the helium impact).

EXHIBIT 10: **We expect 2.4% EPS growth from pricing**



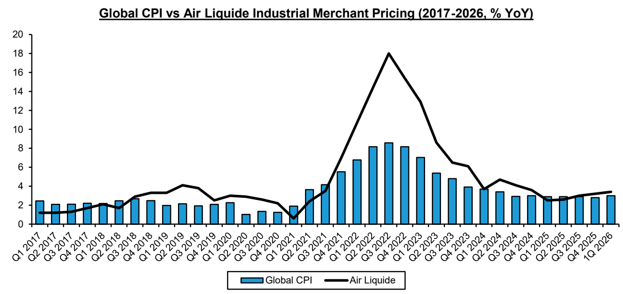
Source: Company information, Bernstein analysis and estimates

EXHIBIT 11: **Price growth in the gas majors is resilient to external shocks**



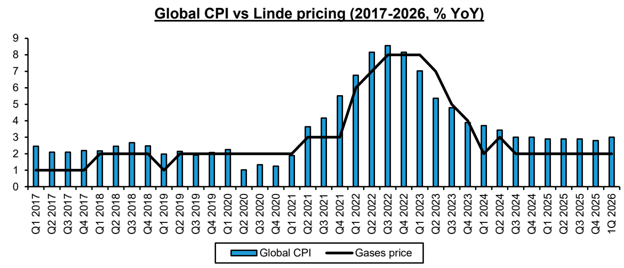
Source: Company information, Bernstein analysis

EXHIBIT 12: **Air Liquide has delivered pricing above inflation**



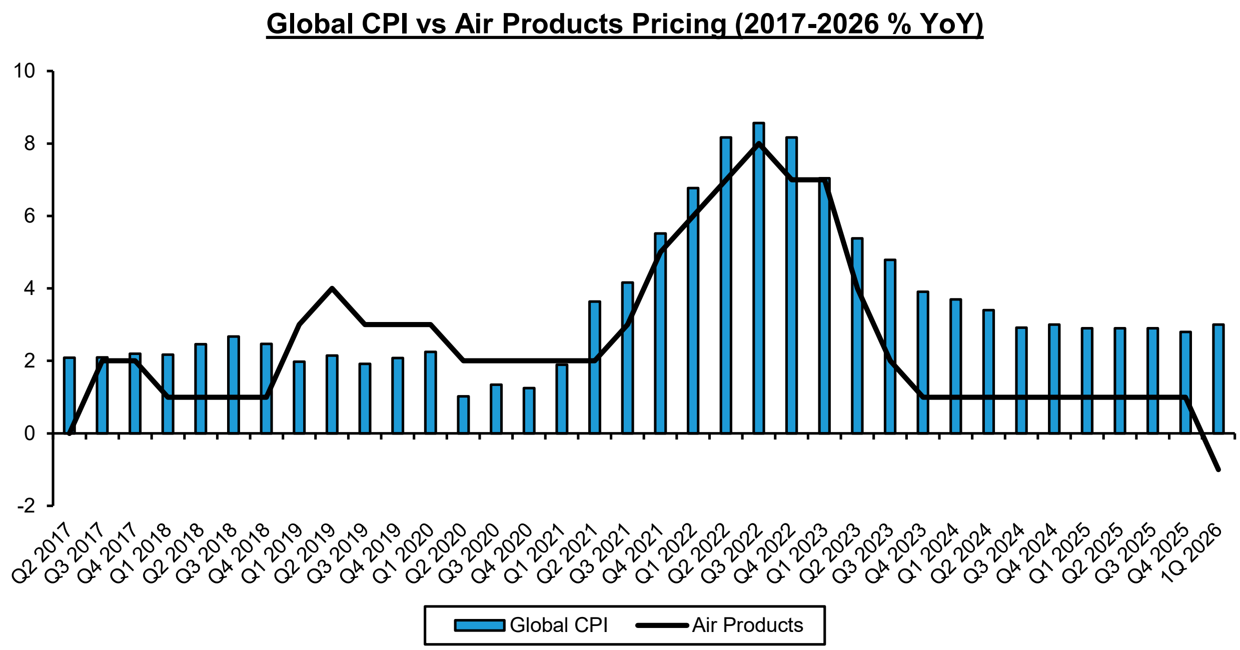
Source: OECD, Company information, Bernstein analysis

EXHIBIT 13: **Linde has delivered pricing in line slightly below inflation**



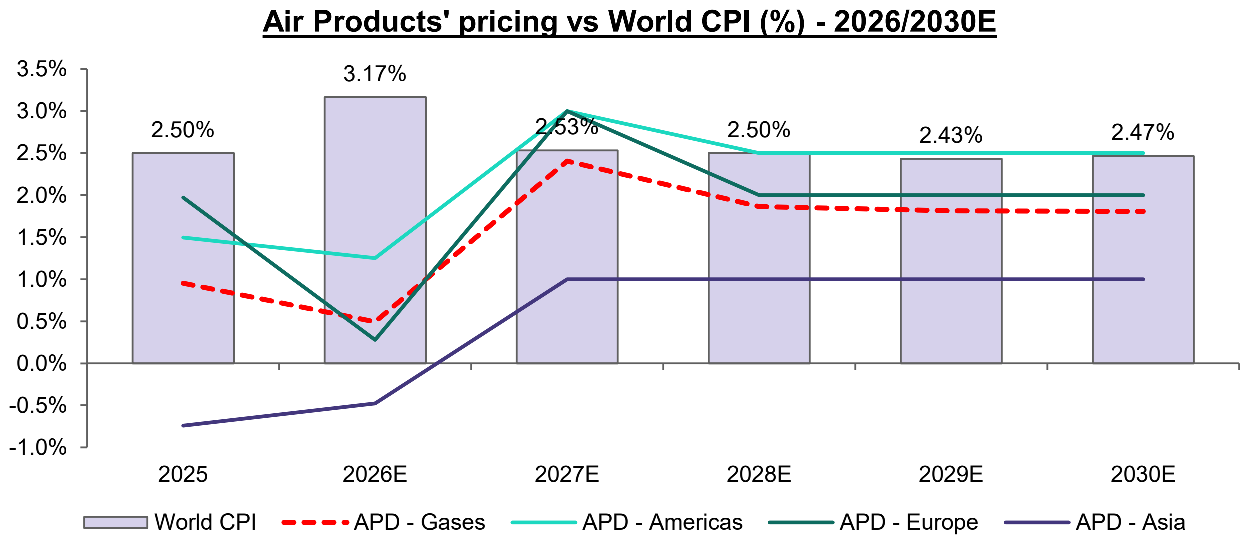
Source: OECD, Company information, Bernstein analysis

EXHIBIT 14: **Air Products' pricing has collapsed in recent years, we see helium as the key reason**



Source: OECD, Company information, Bernstein analysis

EXHIBIT 15: **We expect Air Products to price back in line with inflation with helium headwinds fading**



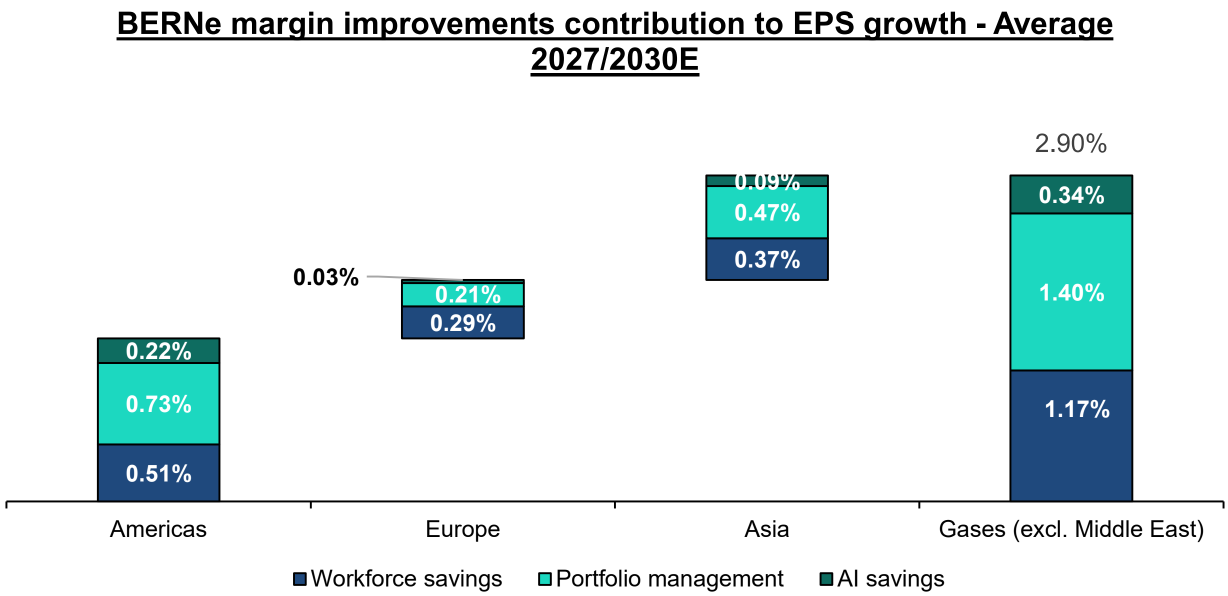
Source: IMF, Company information, Bernstein analysis and estimates

~3% FROM PRODUCTIVITY

We expect Air Products to deliver c.3% EPS growth with margin improvements (Exhibit 16). From 2020 to 2022, margins have fallen significantly creating a gap with Air Liquide and Linde (Exhibit 17). However, since 2022 the company has significantly improved margins (Exhibit 18) as a result of cost saving initiatives well illustrated by the stabilisation of its headcount (Exhibit 19 and Exhibit 20).

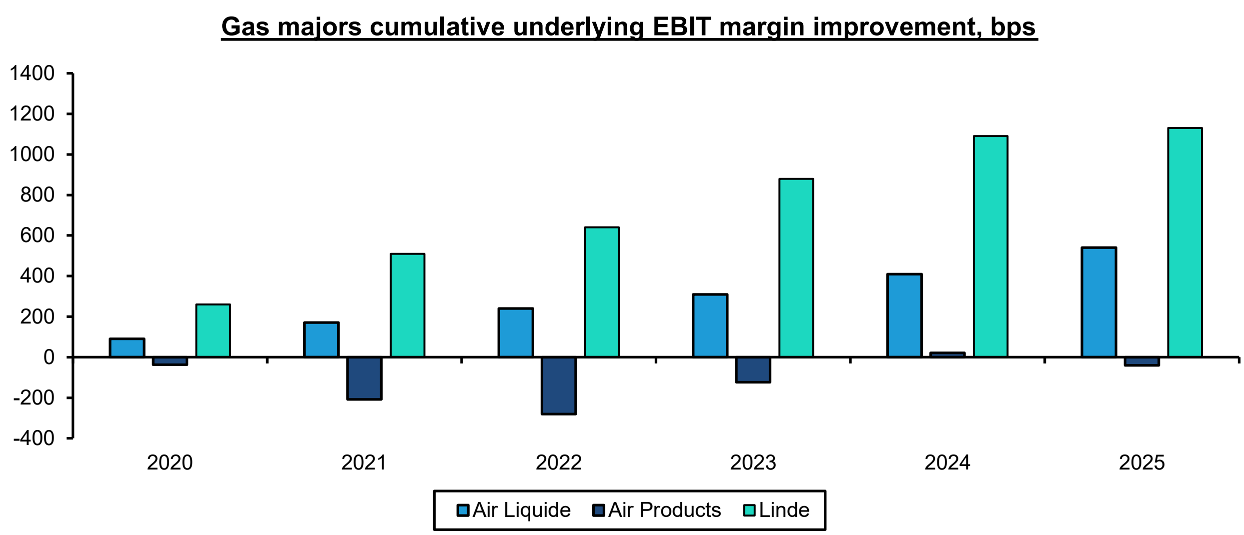
We see these cost savings initiatives as a part of a broader change of culture at Air Products. As highlighted during our takeaway of the SDC (see Bernstein SDC: Air Products Takeaways), CFO Melissa Schaefer outlined how Eduardo Menezes has changed the organisation: a tighter focus on discipline across capital allocation, customer contracts, operational rigour and structural decision-making. Eduardo has been tapping into the experience of the existing team from, when APD operated using a more traditional industrial gas business model, so he has been able to deliver improving performance within the previous organisation. Engineering groups have new supervision, hopefully improving reliability. In FY26, they expect to save $100m of costs, and they had delivered half of this saving in Q2. Therefore, we see a long term focus on improving margins and expect 450bps of margin improvements from 2026E to 2030E.

EXHIBIT 16: **We see c.3% EPS growth contribution coming from margin improvements**



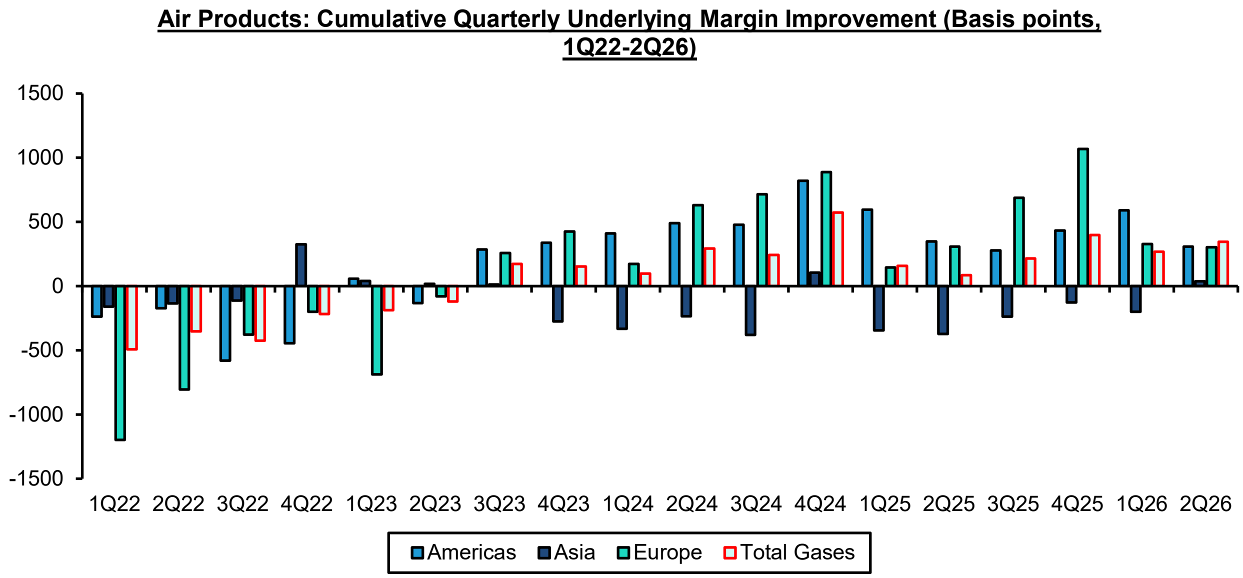
Source: Company information, Bernstein analysis and estimates

EXHIBIT 17: **Air Products has been a laggard with regards to margin improvement in recent years**



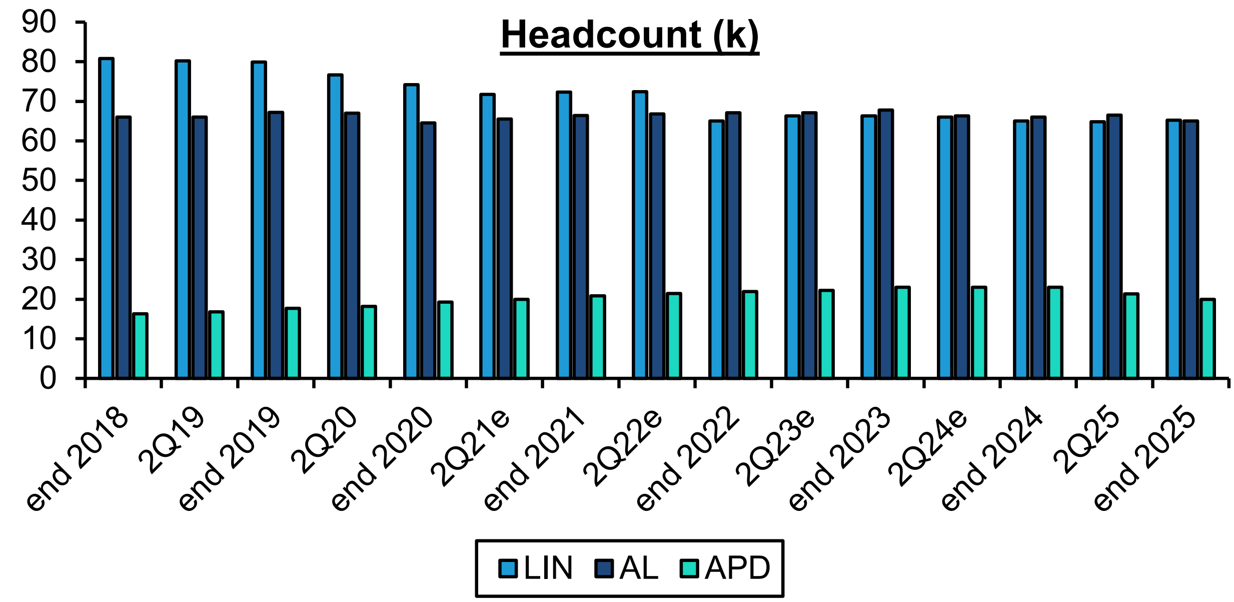
Source: Company information, Bernstein analysis

EXHIBIT 18: **But the group has improved significantly since 2022**



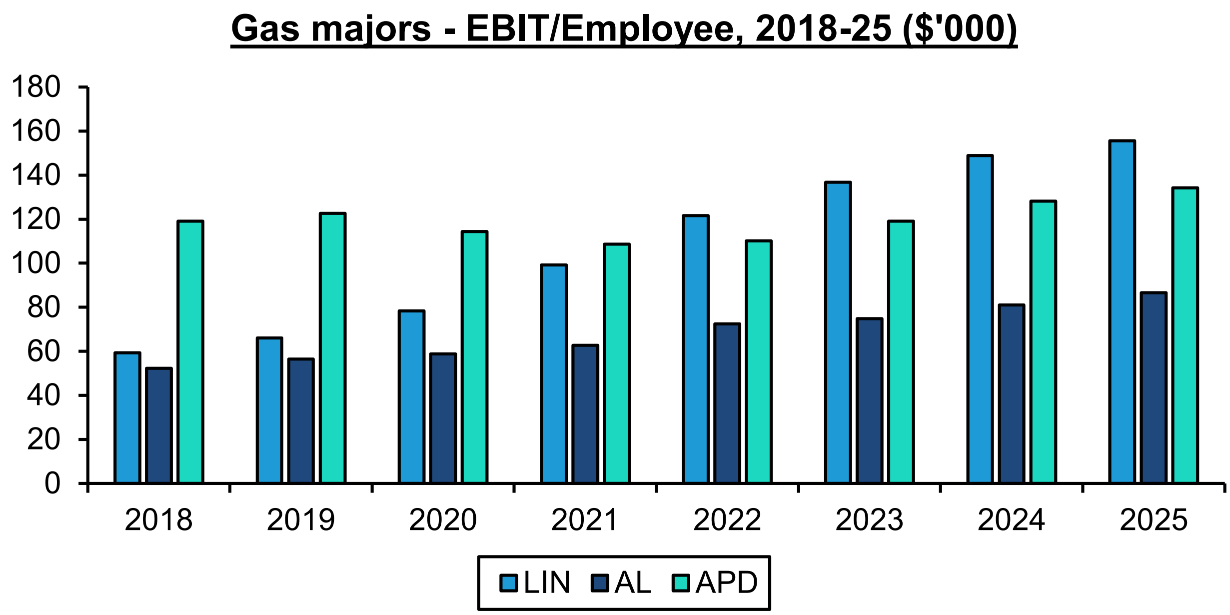
Air Products' fiscal year ends on the 30th of September (2FQ26 = 1CQ26)
Source: Company information, Bernstein analysis

EXHIBIT 19: **Air Products has stabilised its headcount in the past two years**



Source: Company data, Bernstein analysis

EXHIBIT 20: **As a result, the EBIT per employee has steadily increased in recent years**



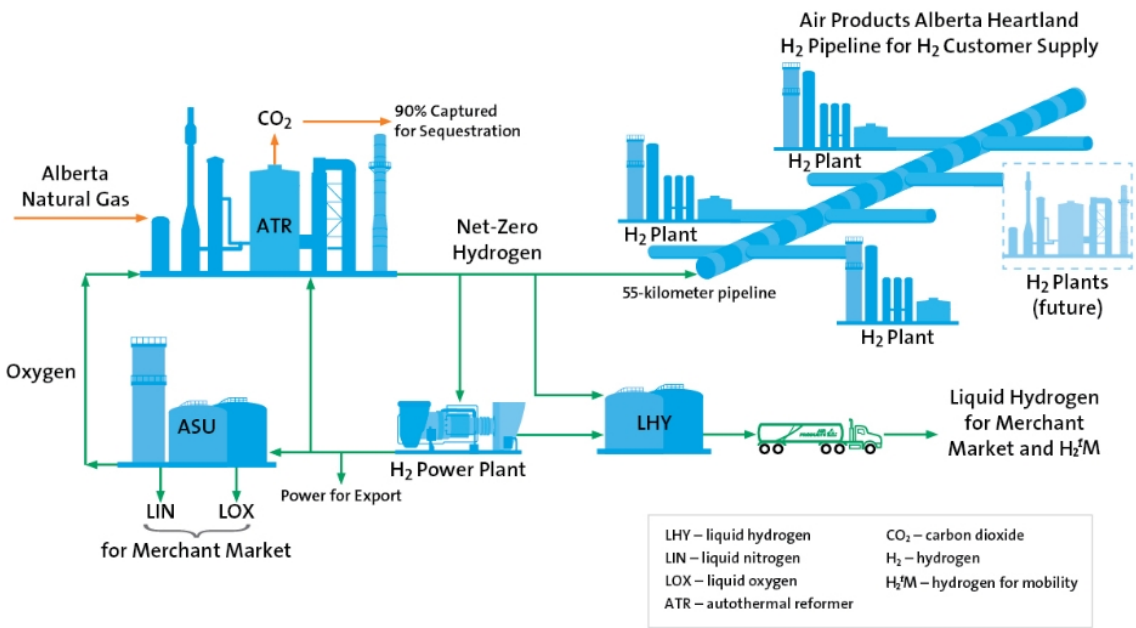
Source: Company data, Bernstein analysis

Portfolio management

Significant cost savings could come from exiting underperforming projects. As part of a broader portfolio review, Menezes mentioned these projects during 2Q25 earnings call with ~$5 billion capex tied to them. As these projects were the first-of-their-kind initiatives they experienced substantial cost overruns and were originally designed for non-contracted pipeline sales and the hydrogen mobility market. This categorisation excluded the megaprojects (i.e. NEOM and Louisiana Blue). Execution on exiting these underperforming projects has been relatively quick. Typically, in February 2025, APD exited three U.S.-based projects including the World Energy SAF facility in California and a green liquid-hydrogen plant in New York recording ~$2.4 billion in charges. Most recently, on June 30, APD cancelled other smaller-scale hydrogen mobility projects, including the Casa Grande, Arizona liquid hydrogen facility along with the Darrow megaproject (see Quick Take: Air Products cancels Darrow & 3QFY26 update). Overall, the exit of these underperforming projects should help drive cost savings. We also see workforce reduction thanks to these projects, and assuming APD saves 250 FTE at $150,000 a year amounting to c.$35m, which we add to Americas EBIT in FY2027.

Three assets still sit within the underperforming bucket: 1) the Edmonton (Alberta) blue hydrogen complex in Canada, where ~40–50% of volume remains uncontracted and final investment decision is pending Canadian legislative clarity; 2) the Rotterdam blue hydrogen portfolio, where HyCO5 is only 40–50% contracted and the ammonia import terminal investment has been paused pending European regulatory development; and 3) two coal gasification assets in China, which have been impaired and are actively being marketed for sale. Together, these three geographies represent the residual tail of the original ~$5 billion underperforming capex envelope, with APD targeting total group capex of ~$2.5 billion by 2030. These form the core of the future opportunity.

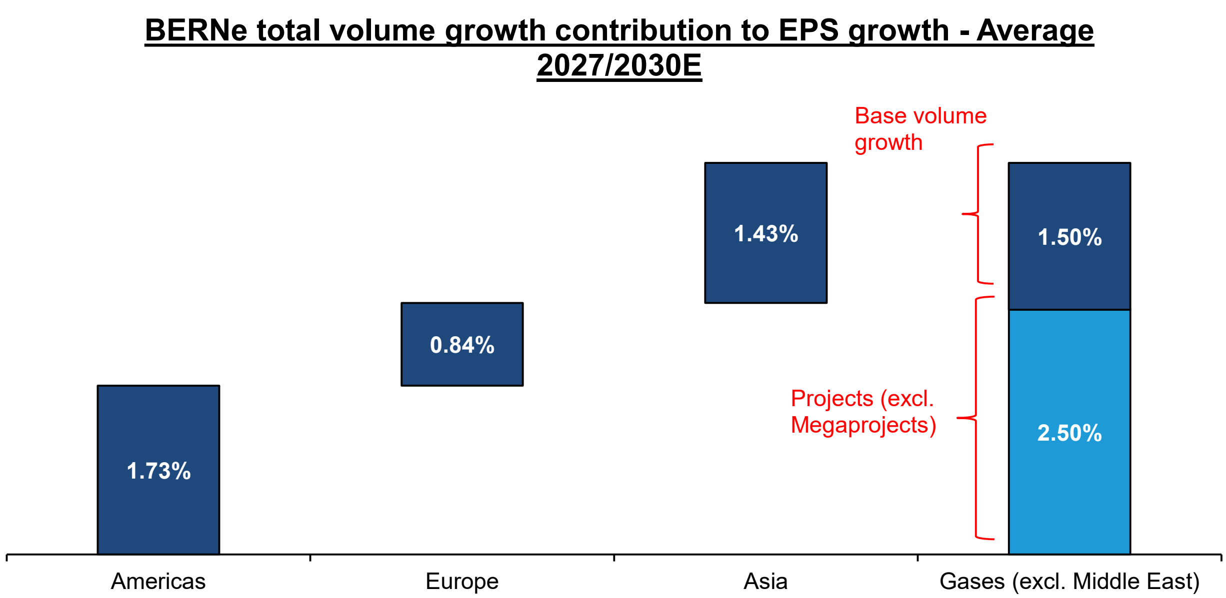
EXHIBIT 21: **Edmonton (Alberta) project**



Source: Air Products

2.5% PROJECTS

EXHIBIT 22: **We see +2% growth coming from the projects**

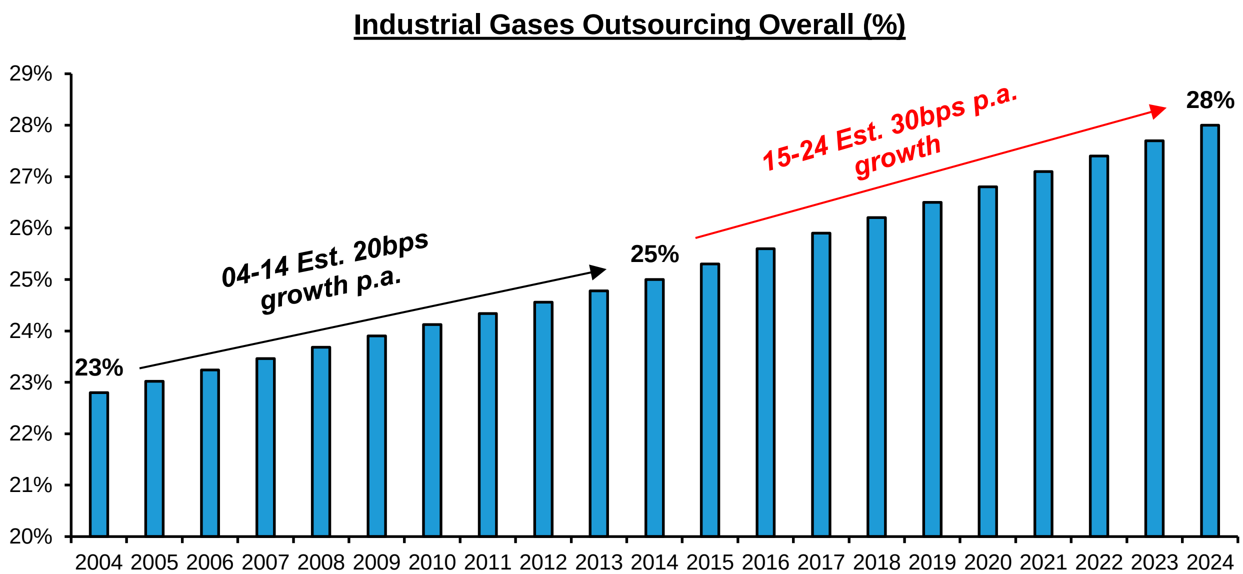


Source: Company information, Bernstein analysis and estimates

NEW TRADITIONAL INDUSTRIAL GAS PROJECTS - MORE OUTSOURCING TO COME

As per our long view (see The Long View: How Industrial Gases revenues can compound at the magic 5% through 2030), ramp ups are needed over time to serve higher demand. Historically, manufacturing processes using industrial gases would need to use in-house capabilities. As part of the drive to make companies more efficient, the industrial gas companies were beneficiaries of outsourcing, through their lower costs, specialised technology and increased reliability versus captive production (Exhibit 23). We believe the outsourcing trend has accelerated over the last decade, as emerging markets outsource a higher percentage of gases in new capacity builds, and is likely to continue to be a growth driver for some time. Historically ramp-ups have been close to 1%-2% in the growth algorithm but given we are excluding hydrogen and electronics projects from the traditional gas projects we take a more conservative view and forecast a 0.5% revenue CAGR coming from these projects. This growth is supported by continued investment in traditional industrial gas assets, such as the new air separation facility they began building in Cleveland, Ohio in September last year to supply oxygen and nitrogen under long-term contracts to local manufacturing customers. In a similar vein, their billion-dollar complex in Uzbekistan investment in 2023 produces hydrogen, syngas and other industrial gases for the country's GTL and petrochemical industries, reinforcing the company's core tonnage and onsite gas revenue stream.

EXHIBIT 23: **The industrial gas majors have benefitted from the secular trend of industrial gas outsourcing**

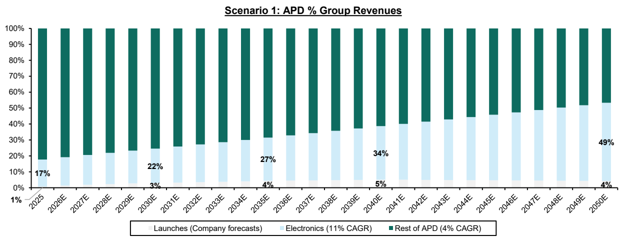


Source: Air Liquide, Gasworld, Bernstein estimates and analysis

STRONG GROWTH COMING FROM ELECTRONICS AND SPACE

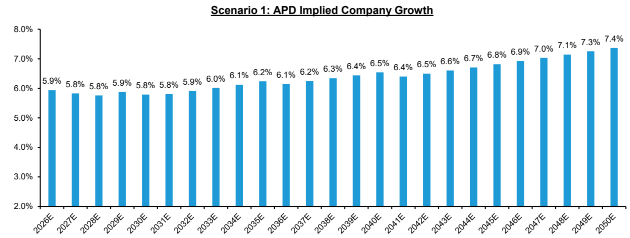
With low-carbon hydrogen backlog projects still debated, we see a path in which most of the market's expected growth can be underwritten from just Electronics and Space. Therefore, only moderate growth will be required from the rest of the business to achieve expectations, de-risking other large projects. Indeed, if electronics compounds at 11%, in-line with Gartner revenue forecasts, space grows c.6-7% as per management's expectations, and the rest of the business grows at 4%, this implies revenue growth comfortably above 5% through the end of the decade for both companies, and potentially the decades beyond (Exhibit 24 and Exhibit 25).

EXHIBIT 24: **APD could be over 50% allocated to Electronics and Space**



Source: Company information, NASA, IMARC, DoE, Linde, Gartner, Bernstein analysis and estimates

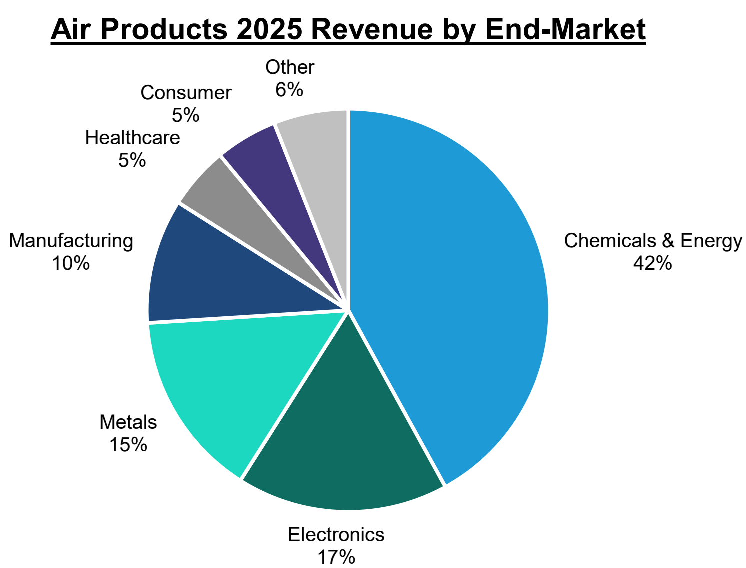
EXHIBIT 25: **APD's high carrier gas exposure alongside their space business leads to some very strong implied revenue growth**



Source: Company information, NASA, IMARC, DoE, Linde, Gartner, Bernstein analysis and estimates

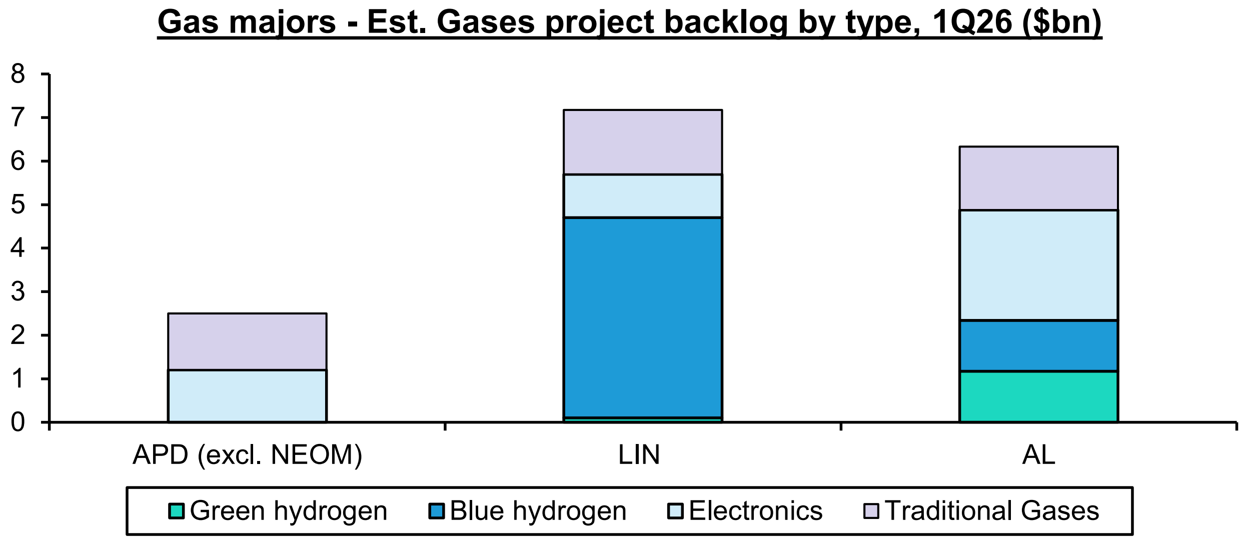
Air Products' higher exposure to Electronics position them well to capture the opportunity stemming from massive capex in semiconductors. While we forecast total volume growth of 4% p.a. until the end of the decade for Asia, and for Americas, this might be conservative in the context of the ongoing investment in semiconductors, like the one recently announced by the government of South Korea of $0.5tn to build new semiconductor fabrication plant with Samsung and SK Hynix building two plants each. While uncertainty remains in terms of the timing to translate these investments into EPS growth for these companies, Air Products should see an outsized benefit because it has the highest exposure of the gas majors to Electronics (Exhibit 26) with roughly half of its backlog (excluding NEOM) derived from this end market (Exhibit 27). Recently, they have announced a major multi-year contract in Korea with Samsung for $900m (see article), which is similar scale of the $900m long-term agreement they signed in 2022 in Taiwan. Assuming they can return 10% p.a. from Samsung, which would mean $90m operating profit translating to c.$70m net income or $0.32 / ~2% EPS per year (excluding any phasing or overruns), one can see the potential of Electronics if other contracts get signed.

EXHIBIT 26: **Air Products derives 17% of its revenue from Electronics, ~7ppt more than Linde and Air Liquide**



Source: Company information, Bernstein analysis and estimates

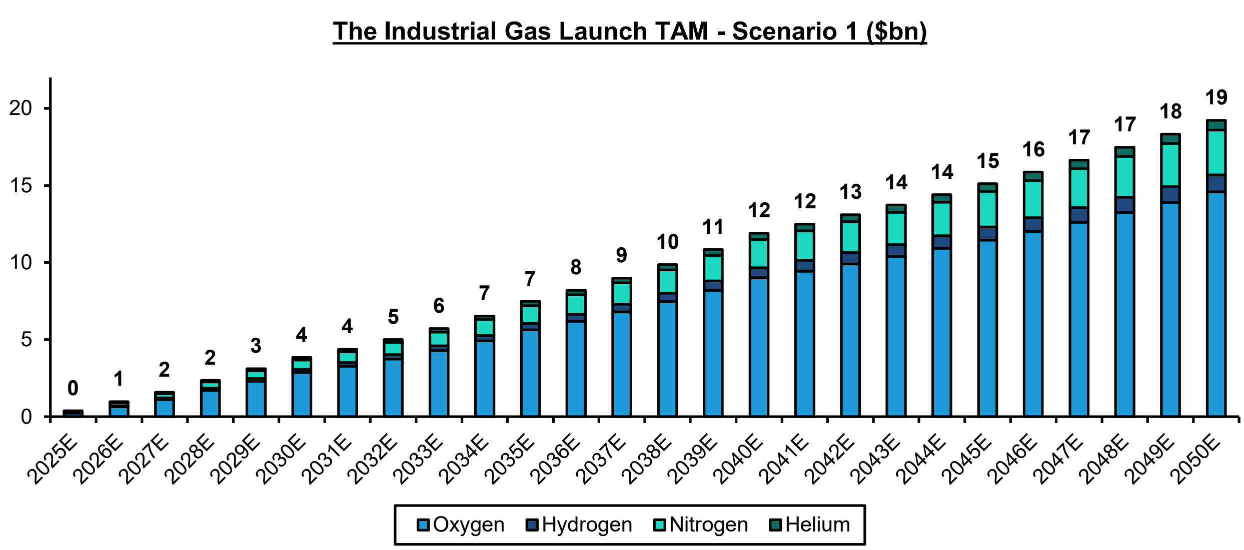
EXHIBIT 27: **Electronics represents rougly half of APD's backlog**



Source: Company information, Bernstein analysis and estimates

We view Air Products' exposure to the space industry as a meaningful source of medium to long-term upside. The company has an established position as a key supplier to the US space and launch ecosystem, and recent developments across the sector reinforce our conviction that Space is becoming an increasingly attractive secular growth market particularly for Air Products and Linde (see The Long View: The Industrial Gas space opportunity - rocket fuel for growth), while Air Liquide's exposure remains more limited. Our bottom-up analysis, based on projected rocket launch volumes and the associated demand for industrial gases, points to a substantial increase in the TAM over the coming decades (Exhibit 28). Although we expect the direct contribution from Space to account for only flat-to +LSD revenue growth through the remainder of this decade (Exhibit 29), the strategic importance of the end market should not be underestimated. As launch cadence increases, reusable rockets become more widespread, and space infrastructure continues to expand, we believe Space has the potential to evolve into a meaningful long-term growth vertical for Air Products and the other gas majors.

EXHIBIT 28: **Rocket launches could be a $19bn industrial gas revenue opportunity by 2050**



Source: Linde, NASA, DoE, IMARC, Company information, Bernstein analysis and estimates

EXHIBIT 29: **We expect revenue growth contribution from Space to be 0.6% on average between 2027 and 2030.**

Company Revenue Forecasts

Scenario 1: Company Forecasts

		2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E	2038E	2039E	2040E
Linde Market Share	Oxygen	85%	70%	65%	60%	55%	55%	50%	50%	50%	50%	50%	50%	50%	50%	50%	50%
	Hydrogen	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%
	Nitrogen	85%	70%	65%	60%	55%	55%	50%	50%	50%	50%	50%	50%	50%	50%	50%	50%
	Helium	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%
Linde Launch Revenues	Oxygen	181	458	722	1,025	1,263	1,574	1,637	1,873	2,145	2,458	2,818	3,094	3,397	3,731	4,098	4,502
	Hydrogen	1	3	5	7	9	10	12	14	16	18	21	23	25	28	30	33
	Nitrogen	85	131	179	235	279	339	348	395	448	509	580	633	693	758	830	909
	Helium	4	7	9	11	13	15	17	19	21	24	27	29	32	34	37	41
	Total	**272**	**599**	**916**	**1,279**	**1,564**	**1,939**	**2,014**	**2,301**	**2,630**	**3,009**	**3,445**	**3,779**	**4,147**	**4,551**	**4,996**	**5,485**
	% growth		120%	53%	40%	22%	24%	4%	14%	14%	14%	14%	10%	10%	10%	10%	10%
	Linde Revenues (BernE)	33,873	35,234	37,108	39,088	41,180	43,390										
	% LIN Revenues	0.8%	1.7%	2.5%	3.3%	3.8%	4.5%										
Linde Growth	Launch Est. % 2025 Revenues	1.25%															
	Implied Revenues	**423**															
	Growth		175	317	363	285	375	**27-30 Ave.**									
	Impact on LIN Rev. Growth		0.5%	0.9%	1.0%	0.7%	0.9%	**0.9%**									
APD Market Share	Oxygen	10%	7%	6%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%
	Hydrogen	90%	90%	90%	90%	90%	90%	90%	90%	90%	90%	90%	90%	90%	90%	90%	90%
	Nitrogen	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%	10%
	Helium	80%	80%	70%	60%	60%	60%	60%	60%	60%	60%	60%	60%	60%	60%	60%	60%
APD Launch Revenues	Oxygen	21	46	67	85	115	143	164	187	215	246	282	309	340	373	410	450
	Hydrogen	15	57	99	135	166	186	214	246	282	325	373	410	451	497	546	601
	Nitrogen	10	19	28	39	51	62	70	79	90	102	116	127	139	152	166	182
	Helium	34	52	62	67	80	90	100	112	126	142	160	174	189	206	225	245
	Total	**81**	**174**	**255**	**326**	**411**	**480**	**547**	**624**	**712**	**814**	**931**	**1,021**	**1,119**	**1,227**	**1,347**	**1,478**
	% growth		115%	47%	28%	26%	17%	14%	14%	14%	14%	14%	10%	10%	10%	10%	10%
	APD Revenues (BernE)	12,037	12,517	13,086	13,734	14,417	15,136										
	% APD Revenues	0.7%	1.4%	1.9%	2.4%	2.9%	3.2%										
APD Growth	Launch Est. % 2025 Revenues	1.25%															
	Implied Revenues	**150**															
	Growth		23	81	71	85	69	**27-30 Ave.**									
	Impact on APD Rev. Growth		0.2%	0.6%	0.5%	0.6%	0.5%	**0.6%**									

Source: Linde, NASA, DoE, IMARC, Company information, Bernstein analysis and estimates

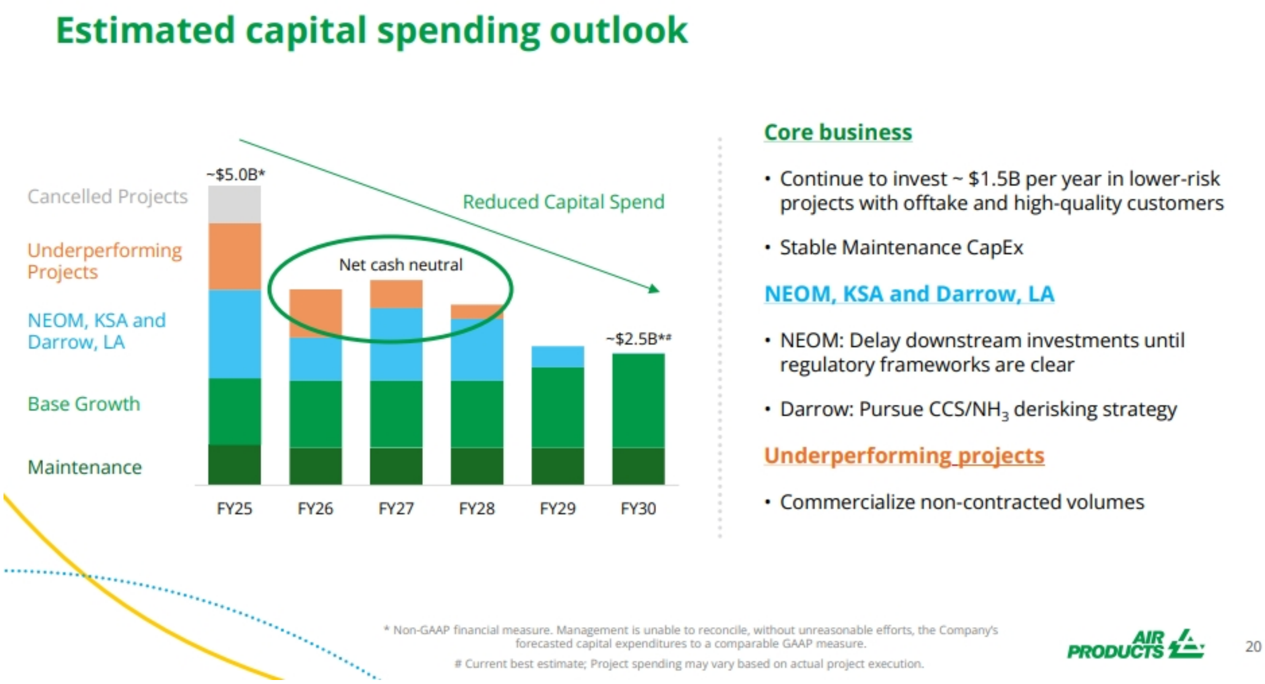
1% - SHARE BUYBACK

The final component of Air Products' EPS growth algorithm is what we expect to be 1% EPS growth contribution from share buybacks. However, unlike the other levers, this is not an immediate driver of growth and is better viewed as a medium-term capital allocation tool. Management has been clear that capital returns currently take a back seat to balance sheet repair, following several years of elevated capex linked to NEOM and Darrow. As such, the priority is first to fund the backlog and deleverage the balance sheet, while maintaining the dividend, before any meaningful resumption of buybacks.

However, as Darrow is now cancelled, this removes a significant portion of the capex outlook in Exhibit 30. Importantly, APD should be able to recover at least part of its investment in Darrow, as the site could be sold for data-centre development and the kit could also be sold or save capex elsewhere. Recent hyperscale investments in Louisiana highlight the growing attractiveness of the region for AI and cloud infrastructure. For example, Meta's Hyperion AI data-center campus in northeast Louisiana spans approximately 2,250 acres and was initially associated with a $10 billion investment. This underscores the strong demand for large-scale data-centre sites in the state. Air Products has not disclosed the size of the Darrow site, making it difficult to estimate its potential value. Nevertheless, given they committed c.$2.0bn of capex for the project and that we estimate that they need $660m (1% of market cap) to buyback shares earlier, this means they would need to recover c.33% of the committed capex. We do not model any incremental buyback contribution before 2028 as timing remains uncertain but should proceeds from Darrow materialise earlier than anticipated, we believe Air Products' balance sheet would be sufficiently strong to support shareholder returns sooner.

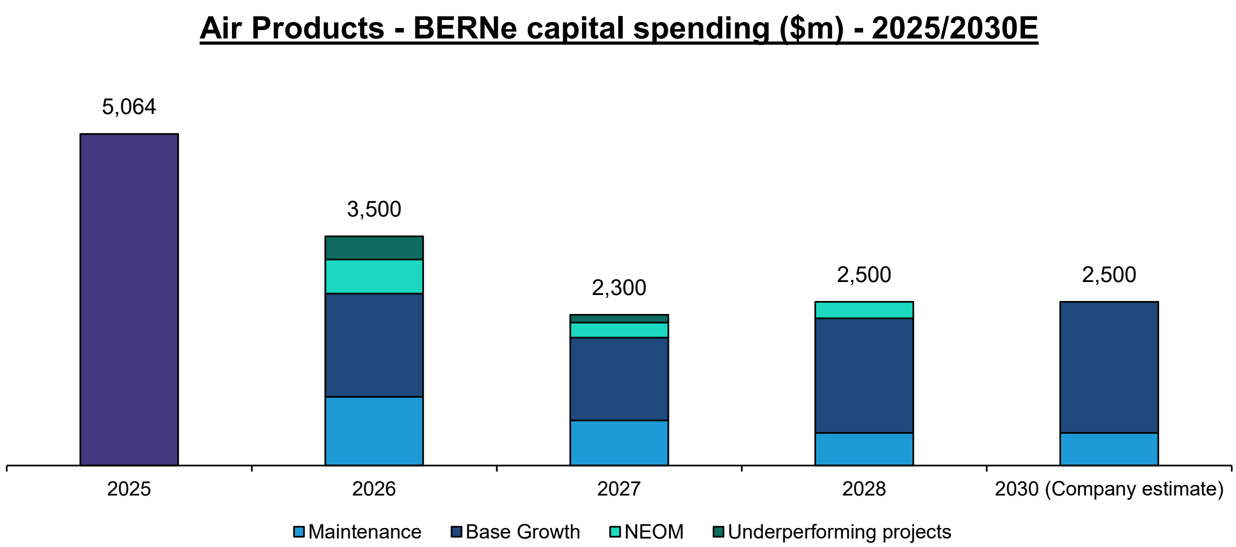
Also, as Yara is making progress towards commercialising most of NEOM's capacity, this means the downstream investment of ~$2bn might not be needed, further reducing the capex envelope. As per Exhibit 31, we therefore expect capex to decrease significantly between 2025 and 2027 to reach $2,300m before increasing slightly in 2028 for traditional gas projects to $2,500m in line with the level of capex expected in 2030 previously by the company. We would therefore expect the company to start returning capital through buybacks starting from 2028 with leverage reaching to c.2.0x (Exhibit 32).

EXHIBIT 30: **The company will focus on deleveraging the balanche sheet in the coming years**



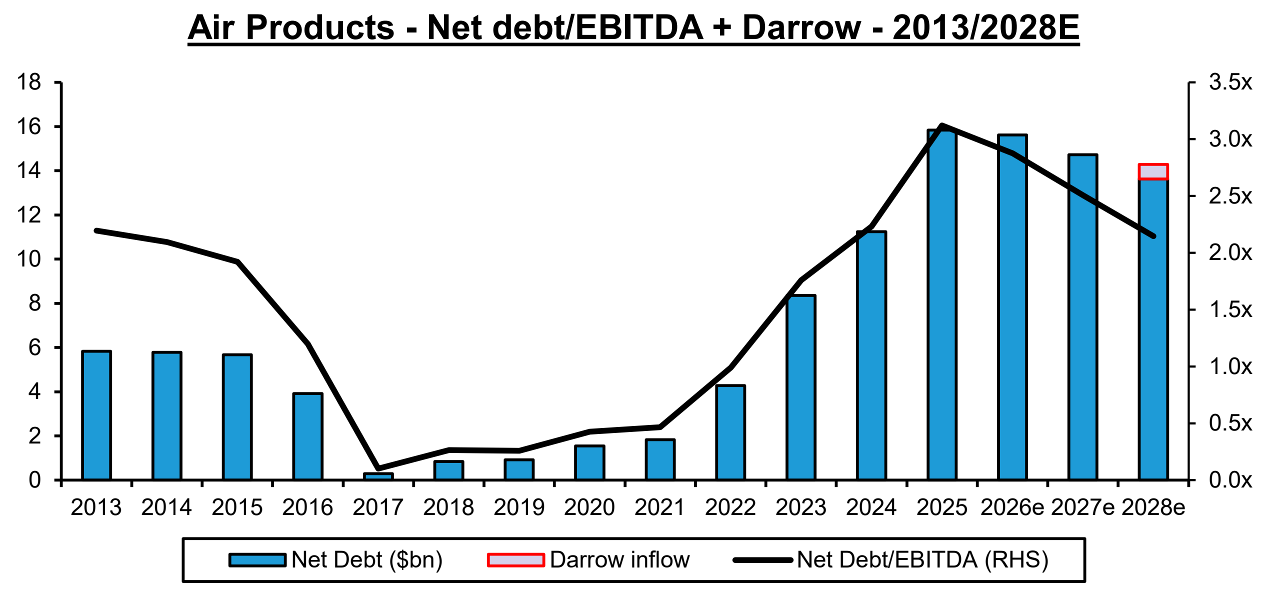
Source: Air Products

EXHIBIT 31: **We expect capex spending to drop dramatically in 2027 as a result of more discipline**



Source: Company information, Bernstein analysis and estimates

EXHIBIT 32: **With lower capex and a potential Darrow inflow, we expect APD to be in good shape to return capital to shareholders**



Source: Company infromation, Bernstein analysis and estimates

THE ONLY REMAINING MEGAPROJECT: NEOM

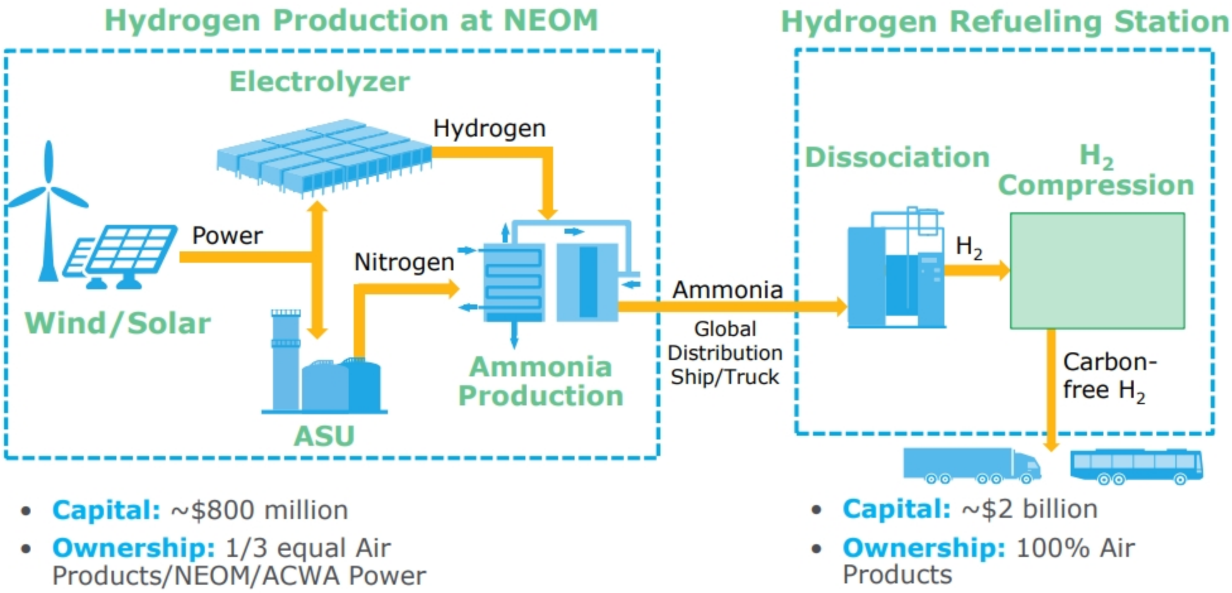
As megaprojects have been a driver of Air Products' underperformance in recent years, we believe it is important to dedicate a section to them. By "megaprojects," we are specifically referring to the NEOM Green Hydrogen project and the Darrow, Louisiana Blue project. Now that Darrow has been cancelled, we focus on NEOM.

NEOM Green Hydrogen Company (NHGC) in Saudi Arabia is a three-way JV between Air Products, ACWA Power and NEOM (Saudi Government). Each founder owns a third share, albeit project financing of $6,195m reduces cash contribution, with APD the primary EPC (engineering, procurement and construction) contractor. Air Products is also the exclusive off-taker under a 30-year contract for the green hydrogen produced at NEOM after its conversion to green ammonia for transportation. The NEOM JV is expected to be in production by early 2027, with a capacity of 600tpd of green hydrogen equivalent to 1.2mtpa of green ammonia (Exhibit 33).

Seifi Ghasemi (ex-CEO of APD) made this project a strategic vision. This vision of favourable supply and demand dynamics in the long term in clean hydrogen would allow APD, as a first mover with a material head start, to capture premium pricing. In his view, initial scarcity driven by tightening regulatory support for low-carbon transport solutions (Exhibit 34 and Exhibit 35) would enable returns well above the "plain-vanilla" levels typically associated with traditional industrial gas projects. This approach was perhaps best encapsulated in his remarks at an investor conference in 2023, where he described a deliberate strategy of delaying contracting to maximise value extraction: effectively a "game of chicken" with customers, underpinned by confidence that APD would be among the only producers able to supply at scale when demand materialises. However, while management previously indicated the project would be "sold out" by 2027, the only confirmed offtake, TotalEnergies, does not begin until 2030, leaving a three-year gap post start-up.

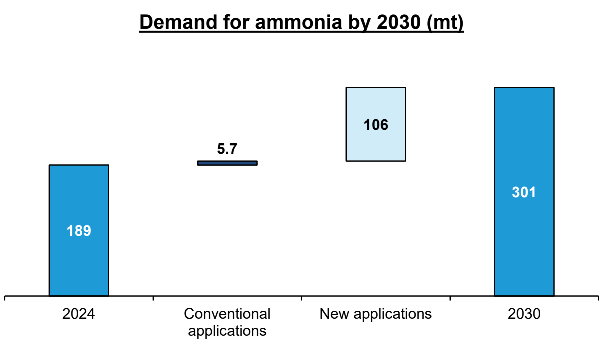
Construction of the project is approximately 90% complete (Exhibit 36), with all necessary materials on-site and personnel present. The focus has now shifted to commissioning the electrolysers and hydrogen plants, which are the most technically challenging components and require the power infrastructure to be fully operational before they can be brought online. However, uncertainty persists as execution risk still remains significant since the project has already been impacted by materially higher cost expectations and delays (Exhibit 37).

EXHIBIT 33: **NEOM carbon free hydrogen**



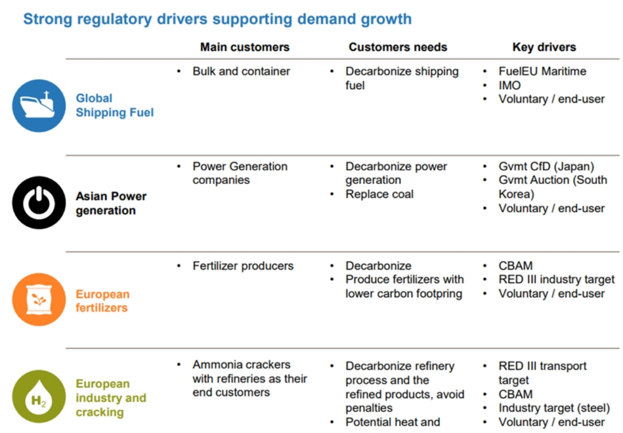
Source: Company data, Bernstein analysis

EXHIBIT 34: **Most of the additional demand for ammonia will come from new applications...**



Source: Yara Handbook 2025, Bernstein analysis

EXHIBIT 35: **There are strong long term demand drivers for clean ammonia**



Strong regulatory drivers supporting demand growth

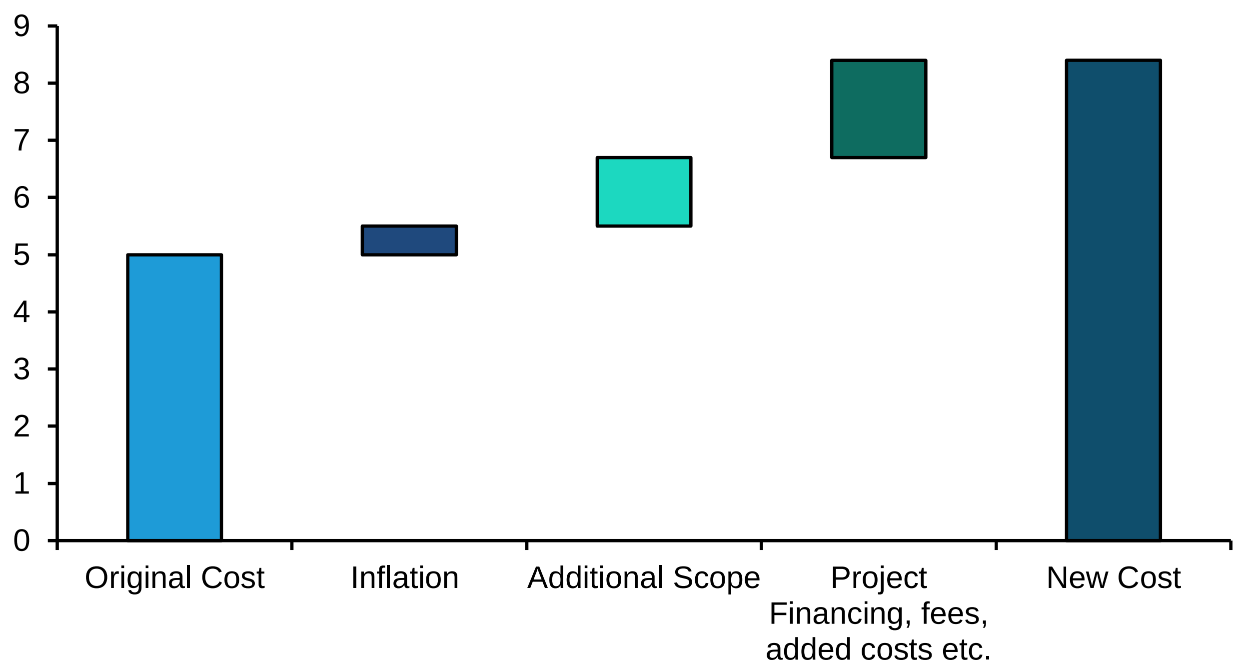
	Main customers	Customers needs	Key drivers
Global Shipping Fuel	• Bulk and container	• Decarbonize shipping fuel	• FuelEU Maritime • IMO • Voluntary / end-user
Asian Power generation	• Power Generation companies	• Decarbonize power generation • Replace coal	• Gvmt CfD (Japan) • Gvmt Auction (South Korea) • Voluntary / end-user
European fertilizers	• Fertilizer producers	• Decarbonize • Produce fertilizers with lower carbon footpring	• CBAM • RED III industry target • Voluntary / end-user
European industry and cracking	• Ammonia crackers with refineries as their end customers	• Decarbonize refinery process and the refined products, avoid penalties • Potential heat and power	• RED III transport target • CBAM • Industry target (steel) • Voluntary / end-user

Source: Yara Handbook 2025

EXHIBIT 36: **The construction is now more than 90% complete**

Source: Air Products

EXHIBIT 37: **Air Products - NEOM project costs inflate**



Source: Bernstein analysis, company data

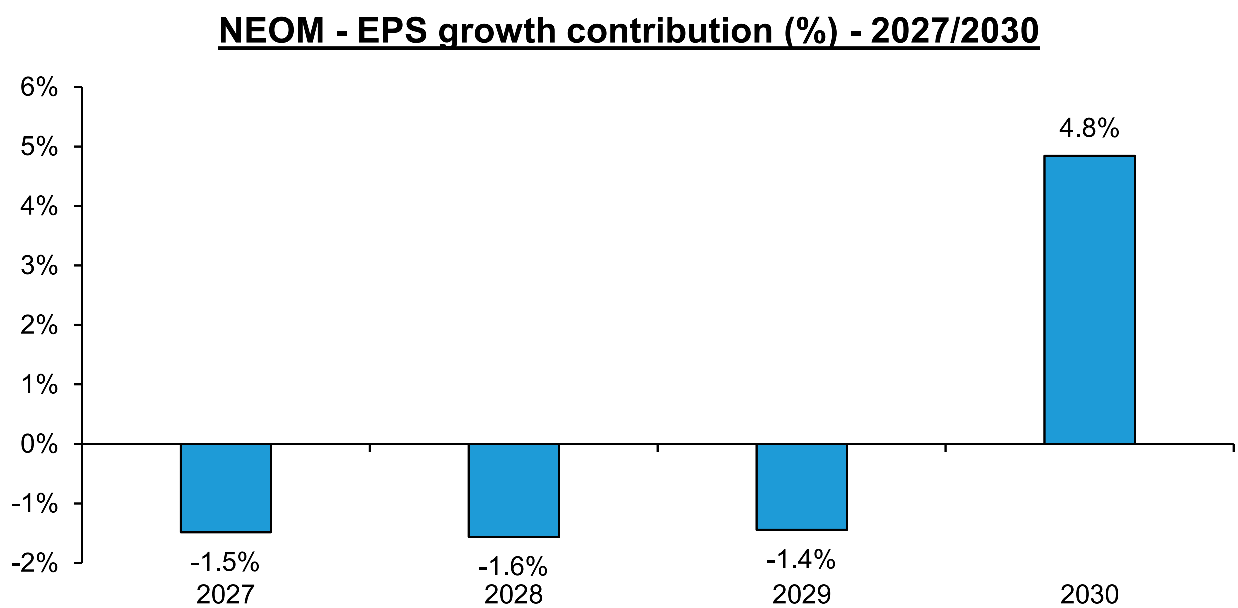
To assess the project's value creation potential, we developed a detailed model reflecting our key operating and market assumptions ([Exhibit 38](#)). While the TotalEnergies offtake agreement covers approximately one-third of the JV's production capacity, Air Products remains exposed through ammonia/hydrogen sales for the remaining two-thirds of output. Therefore, the most significant long-term driver of the project's profitability is end-market demand for green ammonia, our model relies on three scenarios:

- **Low demand:** APD sells 50% of its ammonia at the grey price
- **Medium demand (BERNe Base Case):** APD sells 25% of its ammonia at the grey price
- **High demand:** APD manages to sell all of its ammonia at a green premia

The outputs of these scenarios are summarised in Exhibit 40. Overall, in any of our scenarios, we see positive contribution to EPS starting in 2030 when the agreement with TotalEnergies for green hydrogen starts. In our base case, we see a small multi-year drag on EPS from 2027 to 2030, as selling some volumes at $375/ton during ramp up is highly unprofitable when APD is expected to buy green ammonia at $1,000/ton from the JV. Nonetheless, in this scenario we still see $0.84 EPS contribution in 2030 from NEOM.

The NEOM model is available on demand

EXHIBIT 38: **We see -LSD contribution to EPS growth in the ramp up years and +MSD starting in 2030**



Source: Company information, Bernstein analysis and estimates

EXHIBIT 39: **NEOM: Summary KPIs**

NEOM Summary KPIs - Green Hydrogen	
Project characteristics	
APD's share in the JV (%)	33%
APD total investment ($bn) - BERNe	998
Costs	
Green ammonia cost ex-plant ($/ton) - BERNe	1,002
FOB Green Ammonia cost ($/ton) - BERNe	1,002
CFR Green Hydrogen cost ($/ton) - BERNe	8,469
Prices	
2027 Green Ammonia price ($/ton) - BERNe	956
2027 Green Hydrogen price ($/ton) - BERNe	12,099
Volume mix	
Green hydrogen sold (% of capacity)	33.3%
Green ammonia sold at grey price (% of capacity)	16.7%
Green ammonia sold at green price (% of capacity)	50.0%
Valuation parameters	
WACC (%) - BERNe	7.9%
Tax rate (%) - BERNe	18.5%
Debt to equity ratio (%) - BERNe	59.8%
Returns	
Project NPV ($bn) - BERNe	7.5
Project IRR (%) - BERNe	16.0%

Source: Company information, Bloomberg, Bernstein analysis and estimates

EXHIBIT 40: **Even selling a third of its total ammonia capacity at $375/ton, Air Products generate almost 50 cents EPS from NEOM in 2030**

Scenario of green ammonia demand	% proportion sold as grey	EPS in 2030
Low demand	50.0%	0.40
BERNe Mid scenario	**25.0%**	**0.84**
High demand	0.0%	1.28

Source: Company information, Bernstein analysis and estimates

NEOM MODEL WALKTHROUGH

We begin by modelling the economics of the NEOM Green Hydrogen Company (NGHC) joint venture. Given the project's scale and first-of-kind nature, we assume production requires four years to ramp up and reaches 75% utilisation at the end of the ramp-up period. As operational processes are optimised and market demand develops, we expect utilisation to gradually increase, reaching 100% after a further eight years. Since electrolysis represents the vast majority of production costs, our analysis focuses primarily on this component. We assume an electricity cost of $6.6/MWh, below Saudi renewable power prices reported to be around $10/MWh (see article & article), reflecting the scale and the JV's integrated renewable power infrastructure. Applying 57 MWh of electricity consumption per ton of hydrogen produced results in an electricity cost of $375 per ton of hydrogen. Assuming electricity accounts for roughly 75% of total cash production costs, we derive a green hydrogen production cost of $468/ton. Assuming hydrogen accounts for 85% of the total cash cost of green ammonia production, we estimate green ammonia cash costs of $551/ton. We assume these costs increase by 1.5% annually. To ensure an adequate return for the JV, we assume a 45% EBITDA margin. Based on these assumptions, we derive an initial offtake price from the JV to Air Products in 2027 of $1,002/ton, increasing by 2.0% annually thereafter. In terms of cash, we assume interests increasing along with utilisation at 7.0% cost of debt, maintenance capex at 1% of total capex which lead to an NPV of $5.97bn and 10.6% IRR.

We then model the economics of the Air Products offtake agreement. Under the structure, Air Products generates revenue from two main sources: green ammonia sales and green hydrogen sales.

1 - Green Ammonia: We expect green ammonia to represent c.45% of total offtake revenue through the cycle. Consequently, the pricing achieved for green ammonia is a key driver of overall project returns. Given the still-developing market for green ammonia and uncertainty about regulation, we are uncertain about Yara's ability to commercialise the entirety of Air Products' volumes at a green premium. Instead, we assume that at least 50% of the ammonia sales volumes is sold at conventional grey ammonia prices. Using our proprietary nitrogen fertiliser model, we forecast a long-term Middle East FOB ammonia price of $374/ton. For green ammonia, we see CFR Europe and FOB Middle East prices of $1,300/ton and $1,150/ton respectively as a sensible baseline with various schemes in place for €1,000/ton (equivalent to ~$1,300/ton) green fertilisers such as the Pepsi agreement with Yara. Assuming 75% of the volumes are sold at the green premium price and the rest at the conventional ammonia price, with both prices increasing by 2% annually, we derive a weighted average ammonia price of approximately $1,014/ton in 2030. Since Yara is expected to commercialise these volumes, we incorporate a marketing fee structure. We assume:

- 5% of revenue when ammonia prices are below $450/ton;
- 10% of the incremental revenue for prices between $450/ton and $1,000/ton;
- 15% of the incremental revenue for prices above $1,000/ton.

This structure ensures in our view, that Yara participates in the value creation associated with the adoption of green ammonia while preserving the majority of the economics for Air Products.

2 - Green Hydrogen: Since TotalEnergies is currently the only customer with a signed long-term agreement, beginning in 2030, we assume no green hydrogen sales prior to that date and no additional long-term offtake agreements throughout our forecast period. The contract covers 70,000 tons of green hydrogen per year. Based on our assumption that 1 ton of ammonia yields 134 kg of hydrogen after accounting for 24% losses (see CSIRO study overview), Air Products would need approximately 470,000 tons of ammonia annually to fulfil the contract. We assume ammonia transportation costs of $40/ton and hydrogen reconversion (cracking) costs of $0.70/kg of hydrogen, equivalent to approximately $105/ton of ammonia processed. Combining the purchase price of ammonia from the JV, transportation costs and cracking costs results in an estimated delivered green hydrogen cost of $8.47/kg, or $8,470/ton. For pricing, we also assume a 30% EBITDA margin which we think makes the projects attractive at a price of $12.10/kg.

Combining the green ammonia and green hydrogen assumptions allows us to build the profit and loss statement for the offtake business. We expect the offtake to be loss-making during the initial years due to low utilisation rates and limited downstream demand. However, profitability improves materially once green hydrogen deliveries to TotalEnergies commence in 2030. Under our assumptions, we estimate the offtake business achieves an EBITDA margin of approximately 13% in 2030.

Finally, we incorporate all project-related impacts into Air Products' consolidated financial statements. The model includes:

- Revenues generated from downstream green ammonia and green hydrogen sales;
- Purchases of ammonia from the JV under the offtake arrangement;
- Transportation, processing and commercialisation costs;
- Air Products' one-third share of NGHC earnings, recognised below operating profit as equity affiliate income.

The NEOM model and Fertiliser model are available on demand

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EXHIBIT 41: **In a mid scenario where 75% of the ammonia is sold at a green premia, we see $0.85 EPS contribution from NEOM in 2030**

NEOM - APD Incremental Group P&L	Mid										
in $m unless stated	**2027**	**2028**	**2029**	**2030**	**2031**	**2032**	**2033**	**2034**	**2035**	**2036**	**2037**
Revenue											
Middle East	427	870	986	1,476	1,608	1,640	1,673	1,706	1,741	1,775	1,811
Gases sales	**427**	**870**	**986**	**1,476**	**1,608**	**1,640**	**1,673**	**1,706**	**1,741**	**1,775**	**1,811**
Group sales	**427**	**870**	**986**	**1,476**	**1,608**	**1,640**	**1,673**	**1,706**	**1,741**	**1,775**	**1,811**
COGS	(447)	(912)	(1,034)	(1,160)	(1,291)	(1,316)	(1,343)	(1,370)	(1,397)	(1,425)	(1,454)
Gross profit	**-21**	**-42**	**-47**	**316**	**317**	**324**	**330**	**337**	**344**	**350**	**357**
% margin	*-5%*	*-5%*	*-5%*	*21%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*	*20%*
Transport	-	-	-	(22)	(23)	(23)	(24)	(24)	(24)	(25)	(25)
Cost of ammonia conversion	-	-	-	(52)	(53)	(54)	(55)	(56)	(57)	(59)	(60)
EBITDA	**(21)**	**(42)**	**(47)**	**242**	**242**	**247**	**252**	**257**	**262**	**267**	**272**
% margin	*-5%*	*-5%*	*-5%*	*16%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*	*15%*
Equity affiliates income	(33)	(20)	(14)	(17)	(0)	4	8	12	16	21	25
Pre-tax income	**(54)**	**(62)**	**(62)**	**225**	**241**	**250**	**259**	**269**	**278**	**288**	**298**
Income tax	10	11	11	(42)	(45)	(46)	(48)	(50)	(51)	(53)	(55)
% Tax charge	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*
Net profit	**(44)**	**(50)**	**(50)**	**183**	**197**	**204**	**211**	**219**	**227**	**235**	**243**
% margin	*-10%*	*-6%*	*-5%*	*12%*	*12%*	*12%*	*13%*	*13%*	*13%*	*13%*	*13%*
Diluted share count	222.9	222.9	220.7	218.5	218.5	218.5	218.5	218.5	218.5	218.5	218.5
EPS	**-0.20**	**-0.23**	**-0.23**	**0.84**	**0.90**	**0.93**	**0.97**	**1.00**	**1.04**	**1.07**	**1.11**

Source: Company information, Bernstein analysis and estimates

EXHIBIT 42: **In a low scenario where 50% of the ammonia is sold at a green premia, we see $0.40 EPS contribution from NEOM in 2030**

NEOM - APD Incremental Group P&L	Low										
in $m unless stated	**2027**	**2028**	**2029**	**2030**	**2031**	**2032**	**2033**	**2034**	**2035**	**2036**	**2037**
Revenue											
Middle East	340	694	786	1,359	1,468	1,497	1,527	1,558	1,589	1,620	1,653
Gases sales	**340**	**694**	**786**	**1,359**	**1,468**	**1,497**	**1,527**	**1,558**	**1,589**	**1,620**	**1,653**
Group sales	**340**	**694**	**786**	**1,359**	**1,468**	**1,497**	**1,527**	**1,558**	**1,589**	**1,620**	**1,653**
COGS	(447)	(912)	(1,034)	(1,160)	(1,291)	(1,316)	(1,343)	(1,370)	(1,397)	(1,425)	(1,454)
Gross profit	**-107**	**-219**	**-248**	**199**	**177**	**181**	**184**	**188**	**192**	**195**	**199**
% margin	*-32%*	*-32%*	*-32%*	*15%*	*12%*	*12%*	*12%*	*12%*	*12%*	*12%*	*12%*
Transport	-	-	-	(22)	(23)	(23)	(24)	(24)	(24)	(25)	(25)
Cost of ammonia conversion	-	-	-	(52)	(53)	(54)	(55)	(56)	(57)	(59)	(60)
EBITDA	**(107)**	**(219)**	**(248)**	**125**	**101**	**103**	**106**	**108**	**110**	**112**	**114**
% margin	*-32%*	*-32%*	*-32%*	*9%*	*7%*	*7%*	*7%*	*7%*	*7%*	*7%*	*7%*
Equity affiliates income	(33)	(20)	(14)	(17)	(0)	4	8	12	16	21	25
Pre-tax income	**(141)**	**(239)**	**(262)**	**108**	**101**	**107**	**113**	**120**	**126**	**133**	**140**
Income tax	26	44	48	(20)	(19)	(20)	(21)	(22)	(23)	(25)	(26)
% Tax charge	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*
Net profit	**(115)**	**(194)**	**(213)**	**88**	**82**	**87**	**92**	**98**	**103**	**108**	**114**
% margin	*-34%*	*-28%*	*-27%*	*6%*	*6%*	*6%*	*6%*	*6%*	*6%*	*7%*	*7%*
Diluted share count	222.9	222.9	220.7	218.5	218.5	218.5	218.5	218.5	218.5	218.5	218.5
EPS	**-0.51**	**-0.87**	**-0.97**	**0.40**	**0.38**	**0.40**	**0.42**	**0.45**	**0.47**	**0.50**	**0.52**

Source: Company information, Bernstein analysis and estimates

EXHIBIT 43: **In a high scenario where 100% of the ammonia is sold at a green premia, we see $1.30 EPS contribution from NEOM in 2030**

NEOM - APD Incremental Group P&L	High										
in $m unless stated	**2027**	**2028**	**2029**	**2030**	**2031**	**2032**	**2033**	**2034**	**2035**	**2036**	**2037**
Revenue											
Middle East	513	1,047	1,186	1,593	1,748	1,783	1,819	1,855	1,892	1,930	1,969
Gases sales	**513**	**1,047**	**1,186**	**1,593**	**1,748**	**1,783**	**1,819**	**1,855**	**1,892**	**1,930**	**1,969**
Group sales	**513**	**1,047**	**1,186**	**1,593**	**1,748**	**1,783**	**1,819**	**1,855**	**1,892**	**1,930**	**1,969**
COGS	(447)	(912)	(1,034)	(1,160)	(1,291)	(1,316)	(1,343)	(1,370)	(1,397)	(1,425)	(1,454)
Gross profit	**66**	**135**	**153**	**433**	**458**	**467**	**476**	**486**	**495**	**505**	**515**
% margin	*13%*	*13%*	*13%*	*27%*	*26%*	*26%*	*26%*	*26%*	*26%*	*26%*	*26%*
Transport	-	-	-	(22)	(23)	(23)	(24)	(24)	(24)	(25)	(25)
Cost of ammonia conversion	-	-	-	(52)	(53)	(54)	(55)	(56)	(57)	(59)	(60)
EBITDA	**66**	**135**	**153**	**359**	**382**	**390**	**397**	**405**	**414**	**422**	**430**
% margin	*13%*	*13%*	*13%*	*23%*	*22%*	*22%*	*22%*	*22%*	*22%*	*22%*	*22%*
Equity affiliates income	(33)	(20)	(14)	(17)	(0)	4	8	12	16	21	25
Pre-tax income	**33**	**115**	**139**	**342**	**382**	**393**	**405**	**418**	**430**	**443**	**456**
Income tax	(6)	(21)	(26)	(63)	(71)	(73)	(75)	(77)	(80)	(82)	(84)
% Tax charge	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*	*-19%*
Net profit	**27**	**94**	**113**	**279**	**311**	**321**	**330**	**340**	**350**	**361**	**371**
% margin	*5%*	*9%*	*10%*	*17%*	*18%*	*18%*	*18%*	*18%*	*19%*	*19%*	*19%*
Diluted share count	222.9	222.9	220.7	218.5	218.5	218.5	218.5	218.5	218.5	218.5	218.5
EPS	**0.12**	**0.42**	**0.51**	**1.28**	**1.42**	**1.47**	**1.51**	**1.56**	**1.60**	**1.65**	**1.70**

Source: Company information, Bernstein analysis and estimates

EXHIBIT 44: **Our price assumptions**

Price assumptions - 2027	
Margin on green hydrogen (%)	30%
FOB prices	
Grey NH_3 Middle East	374
Green NH_3 Middle East	1,150
CFR prices - Europe	
Grey NH_3 ($/t)	414
Green NH_3 ($/t)	1,300
Green H_2 ($/t)	12,099
Green v Grey Price Scenario	
Select a scenario	**Mid**
Proportion of Ammonia sold at grey price	25%
Proportion of Ammonia sold at green price	75%
Price inflation	2.0%

Source: Company information, Bernstein analysis and estimates

EXHIBIT 45: **Our cost assumptions**

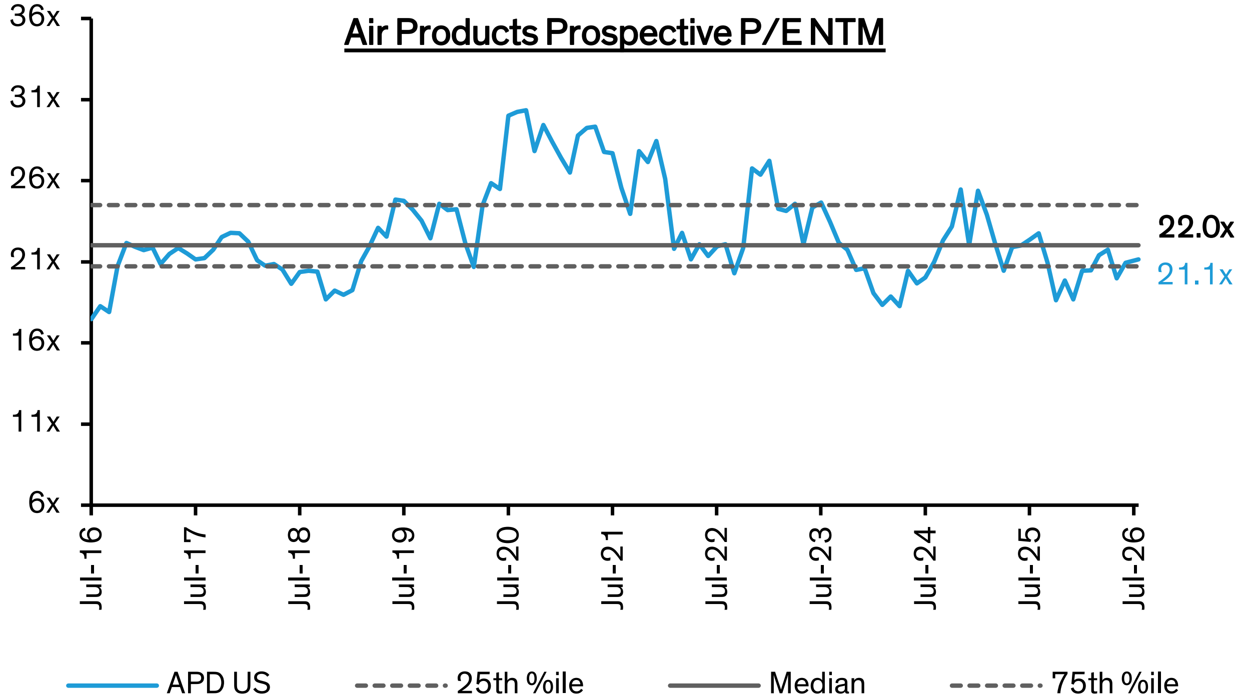
Cost assumptions	
Green ammonia ex-plant ($/t) - 2027	1,002
1 ton of ammonia/1 ton of hydrogen w/o leaking	0.176
Leaking assumption	24%
1 ton of ammonia/1 ton of hydrogen - incl. leaking	0.134
1 ton of ammonia/1 kg of hydrogen	134.1
Transport to Europe ($/ton of NH_3)	40
Transport to Europe ($/ton of H_2)	0.30
Cost of recracking ammonia into H_2 (in $/kg)	0.70
FOB Cost of Green NH_3 ($/ton)	**1,002**
Cost of H_2 ($/kg of H_2)	8.47
CFR Cost of Green H_2 ($/ton of H_2)	**8,469**
Yara fee	
Threshold 1 - Ammonia price - <=	450
Threshold 2 - Ammonia price - <=	1,000
Threshold 3 - Ammonia price - >	1,000
Threshold 1 - Marketing fee	5%
Threshold 2 - Marketing fee	10%
Threshold 3 - Marketing fee	15%
Cost inflation	2.0%

Source: Company information, Bernstein analysis and estimates

VALUATION: THE CASE FOR A RE-RATING

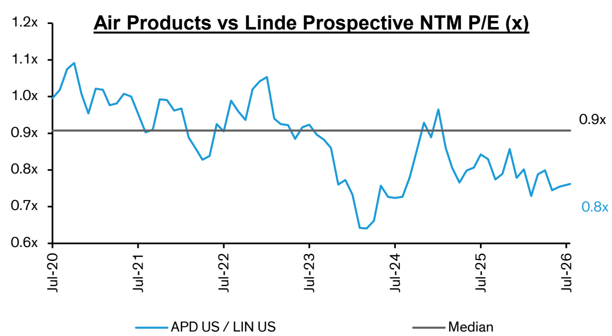
Air Products is currently trading below its 10-Y median, and significantly below peers. The shares trade at 21.1x NTM P/E, effectively below the 22x median (Exhibit 46). This represents a significant discount versus Linde (20%) and Air Liquide (20%) and a discount versus the broader market compared to history (1.0x versus 1.2x), which has grown over the years as a result of the risky high capex spending for megaprojects (Exhibit 47 to Exhibit 50). On a PEG basis, the shares currently appear to be the most attractively valued among the gas majors, despite being expected to deliver slower earnings growth than Air Liquide and Linde (Exhibit 51 and Exhibit 52). **We believe the path to unlocking this re-rating is one of steady execution, assisted by backlog announcements in electronics or other growth verticals. Starting a buyback could also provide support.**

EXHIBIT 46: **Air Products is currently trading near its 10-Y median**



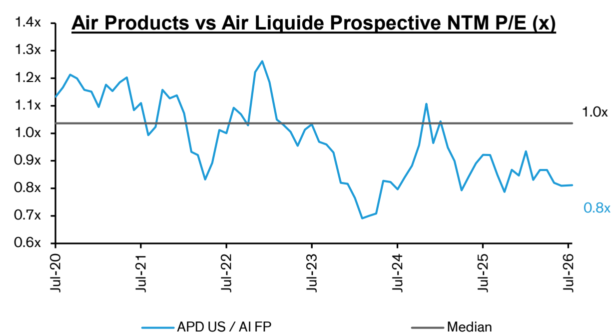
Source: Bloomberg, Bernstein analysis

EXHIBIT 47: **Air Products' discount to peers has been widening over the past two years (1/2)**



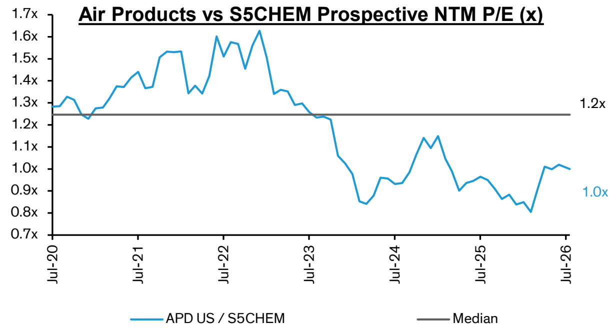
Source: Bloomberg, Bernstein analysis

EXHIBIT 48: **Air Products' discount to peers has been widening over the past two years (2/2)**



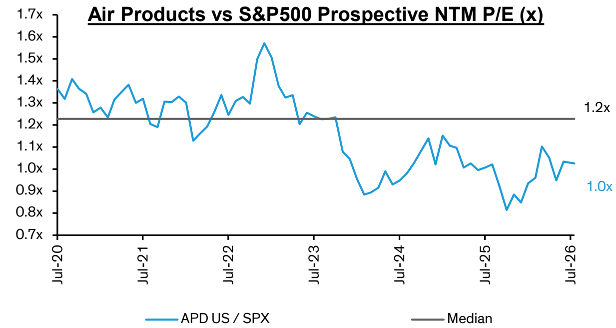
Source: Bloomberg, Bernstein analysis

EXHIBIT 49: **Air Products' relative valuation versus the sector remained at depressed levels since 2024...**



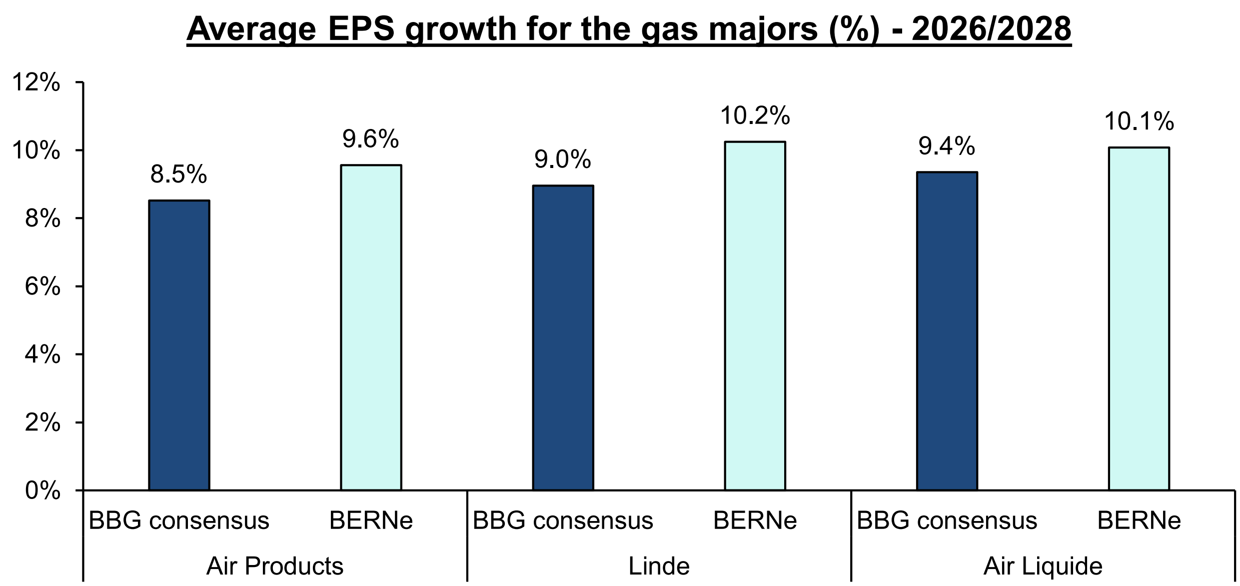
Source: Bloomberg, Bernstein analysis

EXHIBIT 50: **... and we see similar trend relative to the broader market**



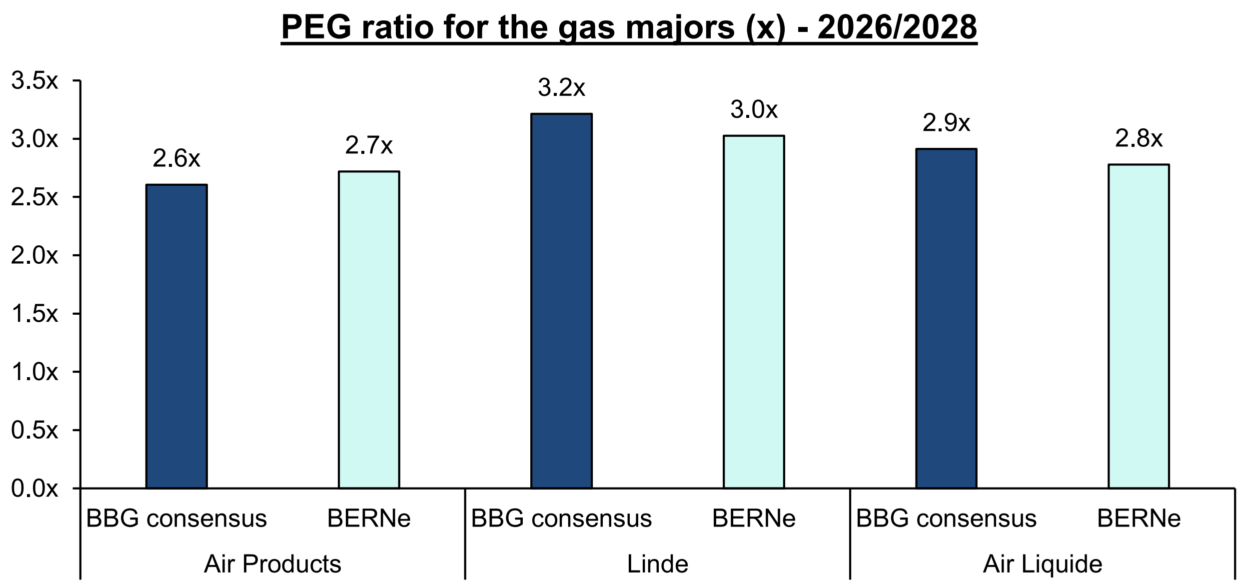
Source: Bloomberg, Bernstein analysis

EXHIBIT 51: **Linde and Air Liquide would offer you the strongest EPS growth in both consensus estimates and ours**



Source: Bloomberg, Company information. Bernstein analysis and estimates

EXHIBIT 52: **However, this comes at a relatively higher price than Air Products**



Source: Bloomberg, Company information, Bernstein analysis and estimates

AIR PRODUCTS IS NOT LINDE...

We don't expect Air Products to reach Linde multiples. As well as the faster growth, we think Linde's track record, higher margins, lower pricing volatility (no NEOM and lower helium), and better returns through the density and discipline strategy are all important.

Linde's "density & discipline" approach and the high quality stemming from the merger makes them the clear leader in many geographies allowing them to generate higher returns. In our primer (see The Bernstein Industrial Gases Primer: How the industry structure can support long-term outperformance), we outlined this model refined over more than 25 years at Praxair and continued post-merger, focusing investment in regions where it can achieve market leadership through network density and operational leverage.

Air Products' relatively weaker level of integration versus its peers is reflected in our assessment of the three major industrial gas companies' distribution density and market dominance. Using sales by territory as a proxy, we assign a 1.0x multiple where a company holds a clearly dominant position, defined as over 50% market share with a meaningful gap to the second-largest competitor (e.g., Linde in Australasia, Brazil, and the UK; Air Liquide in France). Where leadership is less pronounced, with shares between 30% and 50%, we apply a 0.5x multiple (e.g., Linde in Canada), and where leadership is weaker or shared, with shares between 20% and 30%, we apply a 0.3x multiple (e.g., Linde and Air Liquide in Germany). We also adjust for local density and segment positioning, such as Air Products' strength in hydrogen. On this basis, Linde stands out with a dominance factor at 37, compared with roughly 16 for Air Products and 29 for Air Liquide (Exhibit 53). A good example is the UK - one of Linde's highest margin countries. Although APD and Linde both have 4% sales in the UK by our estimates, this means Linde have c. 3x the market share (Exhibit 54). APD's margins could be very high, depending on the terms of their onsite contracts, but it does lower growth opportunities and the potential to drive maximum value from each asset.

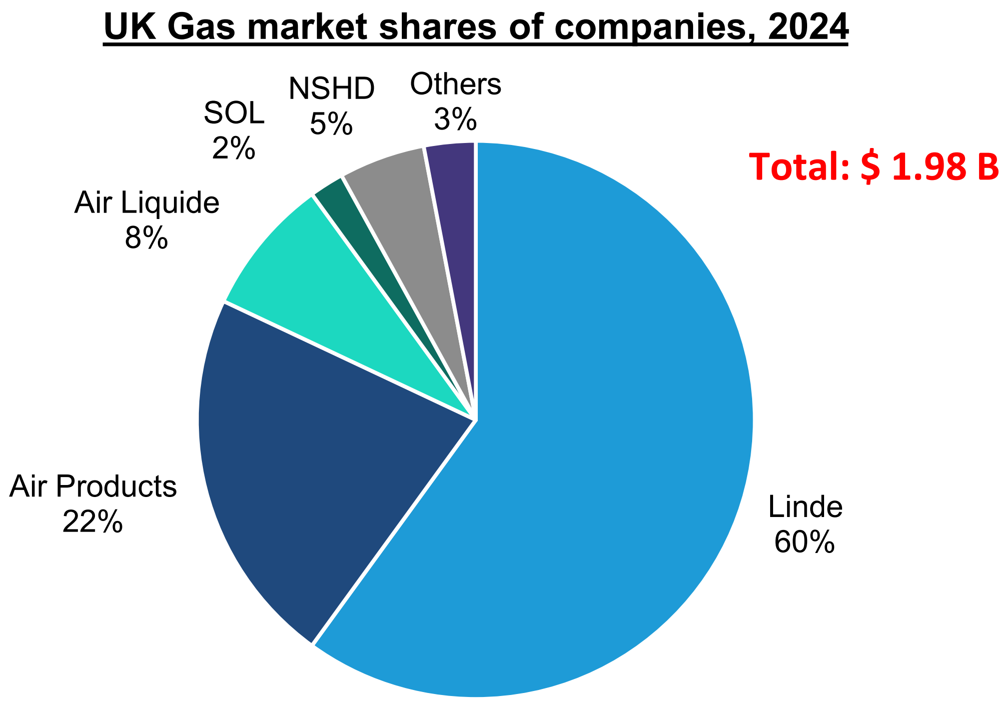
For APD, this relative lack of density is most evident in the United States. The company sought to address this gap through its attempts to acquire Airgas at the time, the leading US packaged gases distributor, which ironically includes Air Products' old US Merchant Business. In 2009, under CEO John McGlade, APD launched a hostile bid after an initial rejection but ultimately withdrew in early 2011 following Airgas's successful poison pill defense. A second approach in 2014 under CEO Seifi Ghasemi, proposing a stock-for-stock merger of equals without a premium, was also rejected. Airgas subsequently engaged multiple potential bidders, ultimately agreeing to be acquired by Air Liquide in 2016.

EXHIBIT 53: **Gas majors - Sales by geography and density dominance, 2025 (%)**

Region	Global	Air Liquide	Air Products	Linde plc
North America	**32**	**37**	**42**	**37**
US	29	33	39	36
Canada	3	4	3	1
Latam	**5**	**2**	**5**	**8**
Mexico	2	<1	assoc.	4
Brazil	2	<1	2	4
Other Latam	1	<1	**3**	0
Europe	**27**	**37**	**25**	**24**
UK	4	1	4	4
Germany	6	9	4	7
France	5	13	2	0
Benelux	4	7	6	4
Scandinavia	1	0	0	2
Iberia	2	2	3	1
Italy/ Other Western Europe	3	5	assoc.	1
Eastern Europe	2	1	6	5
Asia	**30**	**20**	**28**	**20**
China	15	11	16	8
India	4	2	2	3
Other Emerging Asia	11	7	10	9
Japan	6	5	0	0
Australasia	**1**	**1**	**0**	**4**
Africa/Mid East	**5**	**3**	**1**	**1**
Total	**100**	**100**	**100**	**93**
Of which: Emerging Markets	43	27	40	37
Dominance Factor		**29**	**16**	**37**
Leadership		43	17	56

Source: Company data, Bernstein analysis and estimates

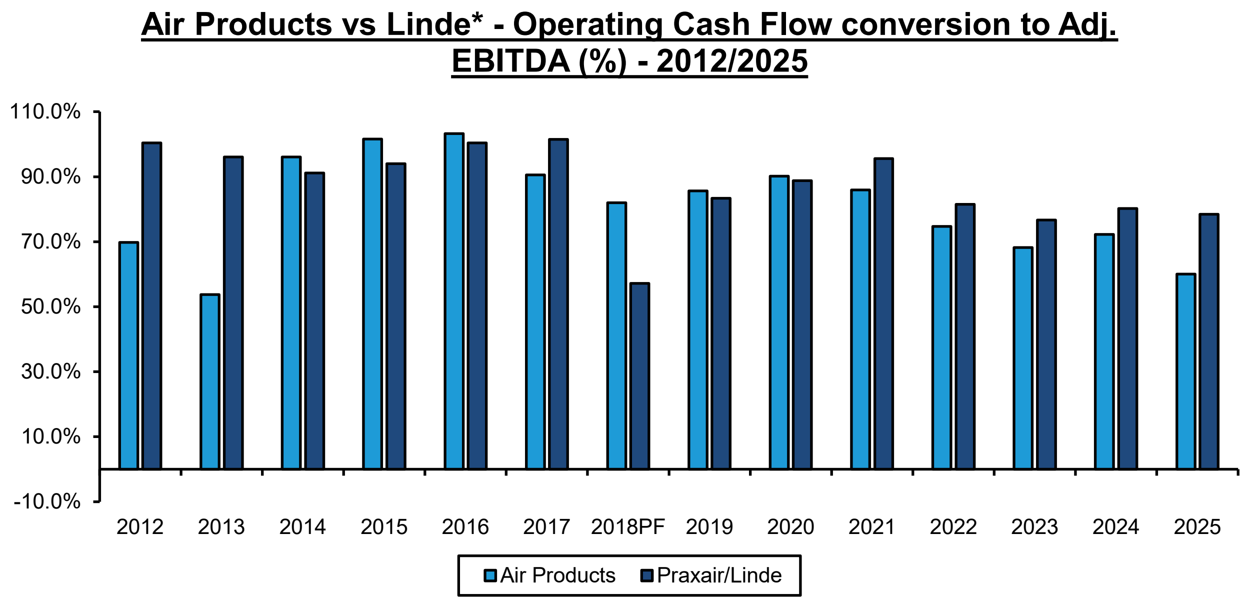
EXHIBIT 54: **Although Linde and APD have a similar % of sales in the UK, it means Linde is c. 3x bigger**



Source: Gasworld, Bernstein analysis

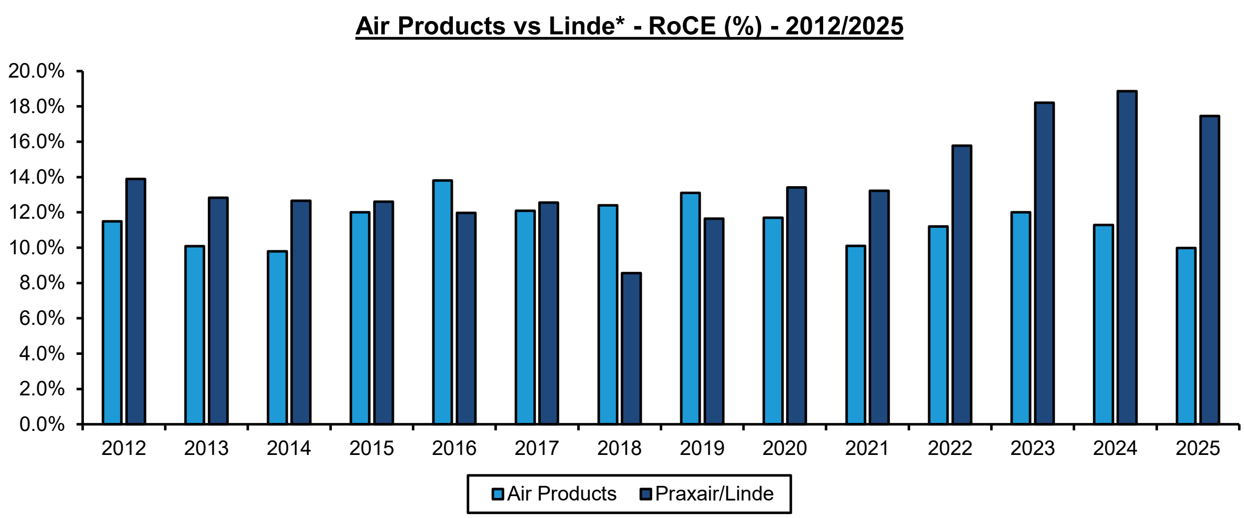
This, combined with more capital discipline, has resulted in higher cash conversion and RoCE over the years. Linde has converted more cash than Air Products over the past five years as a result of stronger capital discipline (Exhibit 55). Regarding RoCE, the gap has widened significantly starting from 2021 when Air Products started to invest billions without increasing profitability significantly. As a consequence, Linde now generates c.18% RoCE while Air Products struggle to reach 10% (Exhibit 56). We believe this return gap has also weighed on margins (Exhibit 57).

EXHIBIT 55: **Cash conversion has been higher at Linde over the past decade...**



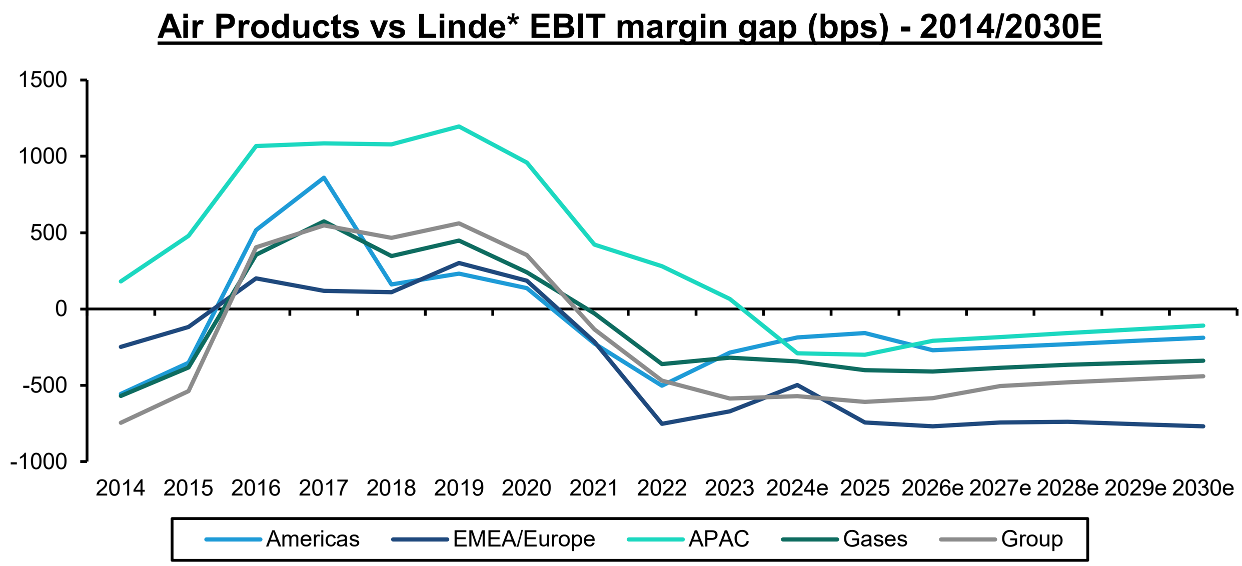
*Praxair's financials before 2018/2019
Source: Company information, Bernstein analysis

EXHIBIT 56: **... and Air Products has lagged on returns**



* Praxair's financials before 2018/2019
Source: Company information, Bernstein analysis

EXHIBIT 57: **Linde now has higher margins than APD**

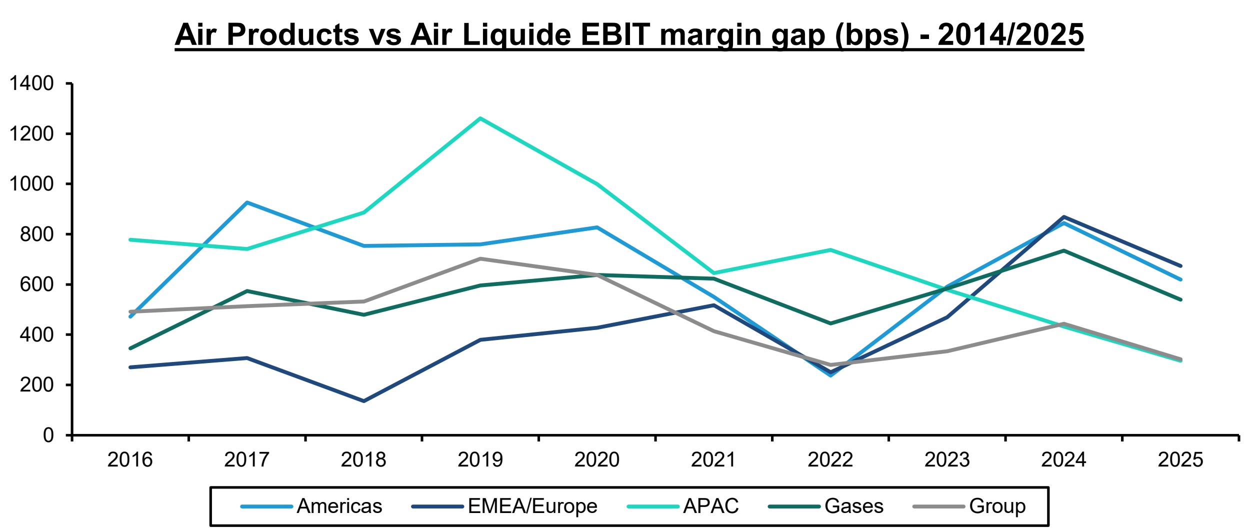


* Praxair's financials before 2018/2019
Source: Company information, Bernstein analysis and estimates

... BUT WE SEE LESS REASON FOR A VALUATION GAP VERSUS AIR LIQUIDE

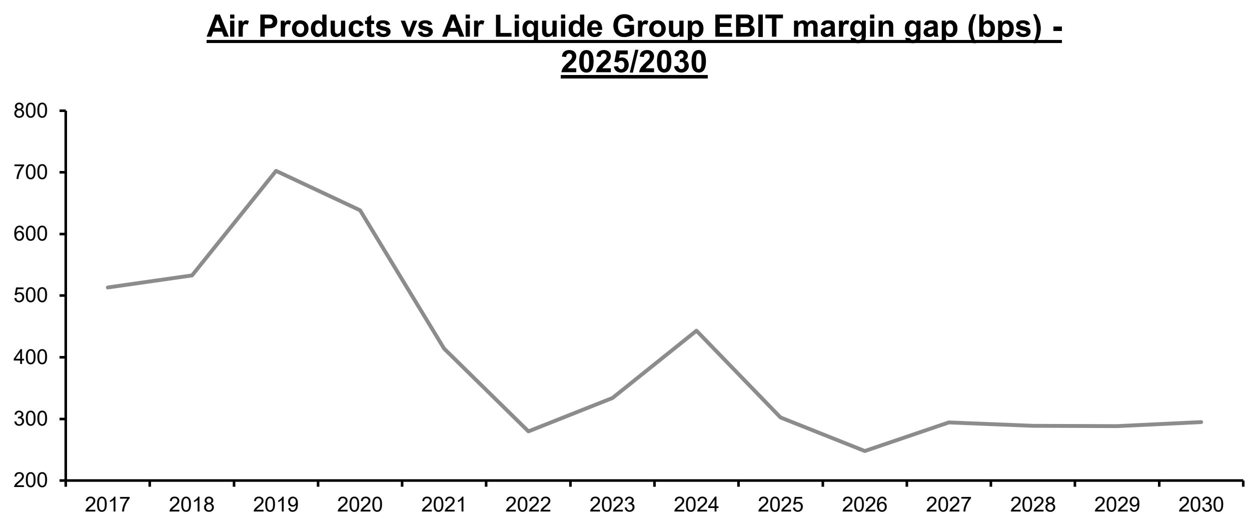
We believe Air Products has potential to have a similar multiple to Air Liquide's. Both companies could deliver meaningfully on the productivity and pricing side. Air Liquide deserves credit for substantially closing the margin gap versus Air Products over time. But as Air Products is earlier in its margin journey, we expect it to maintain its premium over Air Liquide in the coming years (Exhibit 58, Exhibit 59). On the growth side, there is a case for balance, where we see more revenue growth at Air Products, offset by faster EPS growth at Air Liquide (Exhibit 60, Exhibit 61). Again, APD could be more volatile than Air Liquide, given its greater helium exposure and NEOM, but this does not merit the 20% gap as it stands today. **We do not believe that Air Liquide should derate, but rather Air Products should begin to close some of the historical gap.**

EXHIBIT 58: **Air Products has maintained its margin gap with Air Liquide over the past decade**



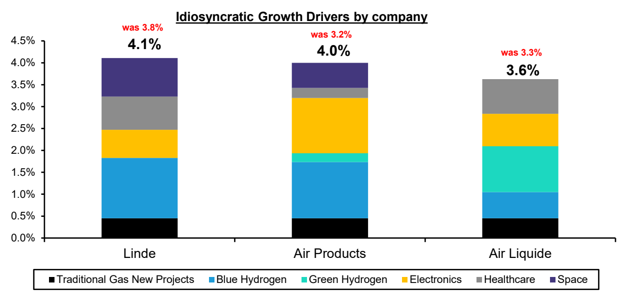
Source: Company information, Bernstein analysis

EXHIBIT 59: **As both companies improve margins, we expect APD's gap to be maintained, albeit at a lower level than historically**



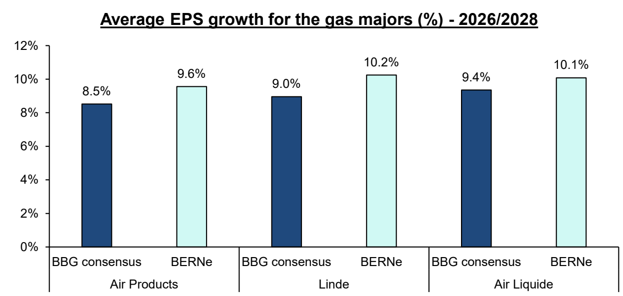
Source: Company information, Bernstein estimates and analysis

EXHIBIT 60: **We are slightly more bullish on APD organic revenue growth...**



Source: Company information, Bernstein analysis and estimates

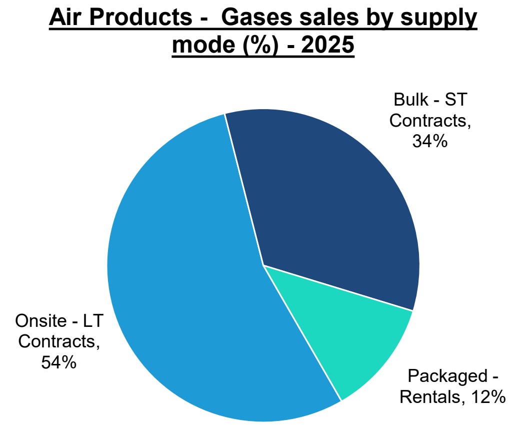
EXHIBIT 61: **... but forecast slightly higher EPS growth at Air Liquide**



Source: Bloomberg, Company information. Bernstein analysis and estimates

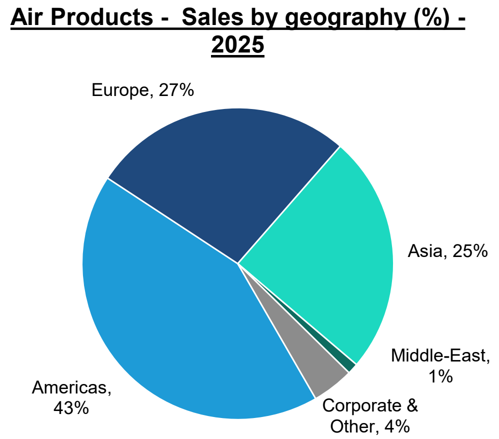
AIR PRODUCTS - KEY INFORMATION

EXHIBIT 62: **Air Products' is highly exposed to onsite activities**



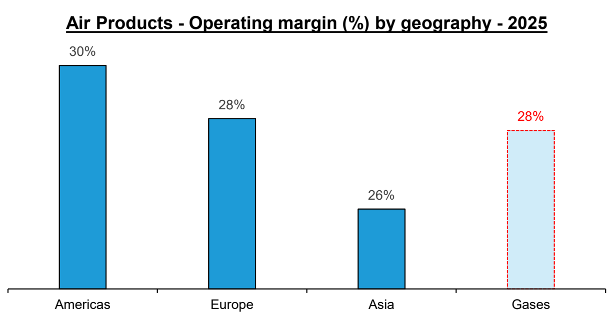
Source: Company information, Bernstein analysis and estimates

EXHIBIT 63: **The company derives nearly half of its revenue in the Americas**



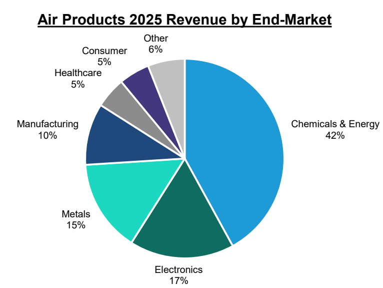
Source: Company information, Bernstein analysis

EXHIBIT 64: **Americas is the highest margin geography for Air Products**



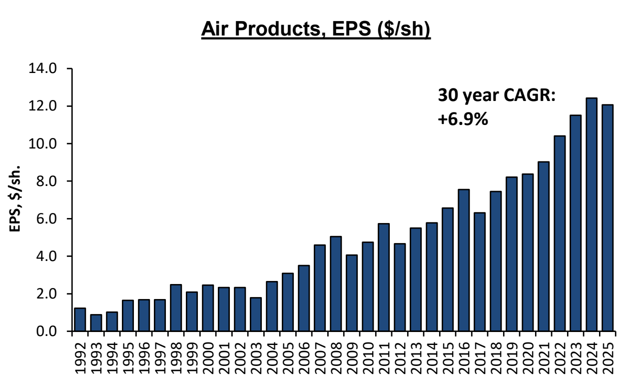
Source: Company information, Bernstein analysis

EXHIBIT 65: **Air Products has increased exposure to electronics**



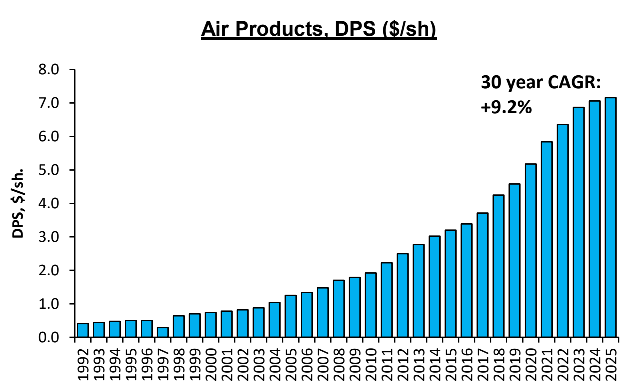
Source: Company information. Bernstein analysis and estimates

EXHIBIT 66: **EPS have been increasing steadily over the years**



Source: Company information, Bernstein analysis

EXHIBIT 67: **DPS has also steadily increased over the years**



Source: Company information, Bernstein analysis

FURTHER READING

INDUSTRIAL GASES

- 15 Jul 2026 - Chemicals: Specialty or Commodity, with potentially tough times in between
- 26 May 2026 - The Long View: Chemicals - Analysing the lasting impact on upstream chemicals of the Iran war
- 07 May 2026 - The Bernstein Industrial Gases Primer: How the industry structure can support long-term outperformance
- 21 Apr 2026 - Chemicals 1Q26 Preview: Poker Faces
- 20 Apr 2026 - Chemicals: Positioning for an Iran-related cycle and upgrading Arkema to Market-Perform
- 16 Mar 2026 - The Future of European Chemicals: The carbon tax conundrum
- 13 Mar 2026 - Global Industrial Gases & Semis: Assessing the helium impact
- 23 Feb 2026 - The Long View: The Industrial Gas space opportunity - rocket fuel for growth
- 12 Feb 2026 - Chemicals: There is still share price upside if we see a cyclical recovery - a scenario analysis
- 08 Jan 2026 - Chemicals Outlook 2026: A slow start, but there could be considerable upside potential. Downgrading Solvay to Market-Perform.
- 01 Dec 2025 - The Long View: How Industrial Gases revenues can compound at the magic 5% through 2030
- 13 Aug 2025 - European Chemicals: War and Peace II - Refreshing our Ukraine war scenarios
- 10 Jul 2025 - Reflections on the European Chemicals Action Plan: First aid, but no cure
- 27 May 2025 - Chemicals: Amongst the tariff turmoil
- 9 April 2025 - Industrial Gas Majors - It's a big world, after all but gases don't travel so "Hold Tough" and Buy

AIR PRODUCTS

- 30 Jun 2026 - Quick Take: Air Products cancels Darrow & 3QFY26 update
- 27 May 2026 - Bernstein SDC: Air Products Takeaways
- 01 May 2026 - Air Products 2QFY26: This may not be the last guidance raise of the year
- 02 Feb 2026 - Air Products 1QFY26: Turnaround in Motion
- 08 Dec 2025 - Air Products gives a mega-project update: the industrial gas energy transition story is not over yet
- 26 Nov 2025 - Air Products 4QFY25: Making progress as focus moves to Darrow
- 31 Jul 2025 - Quick Take: APD 3Q25 - A first beat for new management
- 1 May 2025 - Quick Take: Air Products 2Q25 — a sobering update on the job in hand
- 25 February 2025 - Air Products - rapid megaproject rationalisation shows a renewed focus on shareholder value
- 6 February 2025 - Air Products - No surprises from the 1Q25 release
- 4 February 2025 - New leadership at Air Products to support density, discipline, de-risking and . . . dependability
- 31 January 2025 - Air Products - Upgrading to outperform Density, discipline, de-risking...dependability?

LINDE

- 05 May 2026 - Linde 1Q26: Earnings Aristocrat, and potentially improving core growth
- 19 Feb 2026 - Linde 4Q25: Earnings Aristocrat, and well positioned for all macro scenarios
- 3 Nov 2025 - Linde 3Q25: Earnings Aristocrat, but also an underappreciated growth story
- 31 Oct 2025 - Quick Take: Linde 3Q25 - 27 Adj. EPS beats in a row, but a guidance narrow rather than raise
- 4 Aug 2025 - Linde 2Q25: Earnings Aristocrat
- 1 Aug 2025 - Quick Take: Linde 2Q25 - 26 EPS beats in a row, and what's 3 cents between friends?
- 22 July 2025 - Linde: Earnings aristocrat 2Q25 - we see the 26th quarter of consecutive EPS beats
- 4 Jun 2025 - Linde: A day with the CEO at the SDC - "The value is visible" ... in the field, networks, density, benchmarking, ownership, 45Q …
- 29 Apr 2025 - Linde: Earnings Aristocrat? 1Q25 - we see the 25th quarter of consecutive EPS beat and underlying sequential growth
- 6 February 2025 - Linde - As expected the 24th beat, 1Q and FY25 guidance light and a share reaction like with 3Q24...
- 4 February 2025 - Linde - We see the 24th consecutive EPS beat, and qoq growth but the macro drag on guidance, but…

AIR LIQUIDE

- 29 Apr 2026 - Air Liquide 1Q26: Who is the guidance for?
- 23 Feb 2026 - Air Liquide 2H25: More growth and more margin improvement
- 28 Jan 2026 - Air Liquide: Best European Idea First Quarter 2026 – Improving growth that isn't priced in. Outperform
- 03 Dec 2025 - Quick Take: A day with Air Liquide at the SDC Premium Review
- 29 Oct 2025 - Air Liquide 3Q25: Typically solid, and potentially the growth trough
- 25 Sep 2025 - Air Liquide at the Bernstein European Industrials Forum: Reassuringly Consistent
- 22 Aug 2025 - Quick Take: Air Liquide acquires DIG Airgas - a high price, but a worthy purchase
- 30 Jul 2025 - Air Liquide 1H25: "This is just the beginning"
- 28 Jul 2025 - Air Liquide: Marginal Gains
- 29 May 2025 - Quick Take: Air Liquide Americas CEO at the SDC
- 24 April 2025 - Air Liquide - Steady as she goes
- 21 February 2025 - Air Liquide - Pushing the margin again.…
- 14 February 2025 - Air Liquide- We see the FY24 EBIT margin +110bp and scope for c.500bp more from there

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 68: **Air Products: P&L Summary**

Air Products ($m)	FY23	yoy	FY24	yoy	FY25	yoy	3Q26e	yoy	FY26e	yoy	FY27e	yoy	FY28e	yoy
Sales														
Americas	5,369.3	*0.0%*	5,040.1	*-6.1%*	5,125.9	*1.7%*	1,351.6	*5.0%*	5,469.3	*6.7%*	5,854.4	*7.0%*	6,234.9	*6.5%*
Asia	3,216.1	*2.3%*	3,224.3	*0.3%*	3,271.0	*1.4%*	854.2	*10.3%*	3,430.5	*4.9%*	3,617.5	*5.5%*	3,798.4	*5.0%*
Europe	2,963.1	*-4.0%*	2,823.4	*-4.7%*	2,984.5	*5.7%*	805.5	*10.7%*	3,160.9	*5.9%*	3,290.2	*4.1%*	3,388.9	*3.0%*
Middle East	162.5	*25.5%*	134.4	*-17.3%*	135.9		37.5		129.7		558.9		1,005.2	
Gases	11,711.0	*-0.1%*	11,222.2	*-4.2%*	11,517.3	*2.6%*	3,048.8	*8.1%*	12,190.3	*5.8%*	13,320.9	*9.3%*	14,427.4	*8.3%*
Corporate & Other	889.0	*-8.4%*	878.4	*-1.2%*	520.0	*-40.8%*	135.8	*43.4%*	562.5	*8.2%*	500.0	*-11.1%*	500.0	*0.0%*
Group	12,600.0	*-0.8%*	12,100.6	*-4.0%*	12,037.3	*-0.5%*	3,184.5	*9.2%*	12,752.8	*5.9%*	13,820.9	*8.4%*	14,927.4	*8.0%*
Adjusted EBITDA														
Americas	2,198.2	*15.6%*	2,423.2	*10.2%*	2,408.7	*-0.6%*	629.4	*9.4%*	2,530.6	*5.1%*	2,799.6	*10.6%*	3,043.9	*8.7%*
Asia	1,369.7	*0.9%*	1,363.1	*-0.5%*	1,412.3	*3.6%*	369.6	*10.7%*	1,495.9	*5.9%*	1,615.4	*8.0%*	1,734.1	*7.4%*
Europe	962.1	*23.9%*	1,105.2	*14.9%*	1,194.0	*8.0%*	321.7	*14.9%*	1,293.7	*8.3%*	1,379.5	*6.6%*	1,454.8	*5.5%*
Middle East	394.2		380.0		376.4		114.5		400.6		335.5		371.6	
Gases	4,924.2	*12.5%*	5,271.5	*7.1%*	5,391.4	*2.3%*	1,435.2	*12.9%*	5,720.8	*6.1%*	6,130.0	*7.2%*	6,604.4	*7.7%*
Corporate & Other	-222.4		-225.2		-314.9	*39.8%*	-59.2	*-42.8%*	-291.2		-256.0		-256.0	
Group	4,701.8	*10.7%*	5,046.3	*7.3%*	5,076.5	*0.6%*	1,376.0	*17.9%*	5,429.6	*7.0%*	5,874.0	*8.2%*	6,348.4	*8.1%*
Adjusted EBIT														
Americas	1,439.7	*22.6%*	1,565.1	*8.7%*	1,519.6	*-2.9%*	390.2	*6.7%*	1,600.9	*5.3%*	1,801.4	*12.5%*	1,980.8	*10.0%*
Asia	906.5	*0.9%*	859.2	*-5.2%*	851.1	*-0.9%*	237.2	*23.9%*	967.1	*13.6%*	1,054.2	*9.0%*	1,144.8	*8.6%*
Europe	663.4	*31.8%*	810.0	*22.1%*	844.7	*4.3%*	227.4	*16.3%*	904.3	*7.1%*	974.2	*7.7%*	1,037.4	*6.5%*
Middle East	16.9		5.9		9.6		7.9		25.1		6.4		-13.1	
Gases	3,026.5	*16.5%*	3,240.2	*7.1%*	3,225.0	*-0.5%*	862.6	*15.1%*	3,497.4	*8.4%*	3,836.2	*9.7%*	4,149.9	*8.2%*
Corporate & Other	-287.3		-292.7		-367.3	*25.5%*	-74.4	*-37.2%*	-335.7		-310.0		-310.0	
Operating Income	2,739.2	*13.5%*	2,947.5	*7.6%*	2,857.7	*-3.0%*	788.3	*24.9%*	3,161.7	*10.6%*	3,526.2	*11.5%*	3,839.9	*8.9%*
Adj Net Income	2,562.9	*10.7%*	2,768.6	*8.0%*	2,688.4	*-2.9%*	747.5	*24.9%*	2,959.9	*10.1%*	3,231.1	*9.2%*	3,515.6	*8.8%*
Dil Shares (m)	222.7		222.8		222.7		222.9		222.9		222.9		222.9	
Dil EPS $	**11.51**	***10.6%***	**12.43**	***8.0%***	**12.07**	***-2.9%***	**3.35**	***24.8%***	**13.28**	***10.0%***	**14.50**	***9.2%***	**15.77**	***8.8%***
DPS $	7.00	*8.0%*	7.08	*1.1%*	7.16	*1.1%*	1.81	*1.1%*	7.24	*1.1%*	7.35	*1.5%*	7.50	*2.0%*
EBITDA margin														
Americas	*40.9%*		*48.1%*		*47.0%*		*46.6%*		*46.3%*		*47.8%*		*48.8%*	
Asia	*42.6%*		*42.3%*		*43.2%*		*43.3%*		*43.6%*		*44.7%*		*45.7%*	
Europe	*32.5%*		*39.1%*		*40.0%*		*39.9%*		*40.9%*		*41.9%*		*42.9%*	
Middle East	*NM*		*NM*		*NM*		*NM*		*NM*		*NM*		*NM*	
Gases	*42.0%*		*47.0%*		*46.8%*		*47.1%*		*46.9%*		*46.0%*		*45.8%*	
Group	***37.3%***		***41.7%***		***42.2%***		***43.2%***		***42.6%***		***42.5%***		***42.5%***	
EBIT margin														
Americas	*26.8%*		*31.1%*		*29.6%*		*28.9%*		*29.3%*		*30.8%*		*31.8%*	
Asia	*28.2%*		*26.6%*		*26.0%*		*27.8%*		*28.2%*		*29.1%*		*30.1%*	
Europe	*22.4%*		*28.7%*		*28.3%*		*28.2%*		*28.6%*		*29.6%*		*30.6%*	
Middle East	*10.4%*		*4.4%*		*7.1%*		*21.1%*		*19.3%*		*1.1%*		*-1.3%*	
Gases	*25.8%*		*28.9%*		*28.0%*		*28.3%*		*28.7%*		*28.8%*		*28.8%*	
Group	***21.7%***		***24.4%***		***23.7%***		***24.8%***		***24.8%***		***25.5%***		***25.7%***	

Source: Company information, Bernstein analysis and estimates

EXHIBIT 69: **Air Products: Cash Flow Metrics**

Air Products	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e
Op. Cash Flow/Sales	*36.9%*	*32.3%*	*25.0%*	*25.4%*	*30.1%*	*27.1%*	*33.5%*	*33.5%*	*33.8%*
Capex/Sales	*28.3%*	*23.9%*	*36.1%*	*44.0%*	*56.2%*	*58.3%*	*27.4%*	*16.6%*	*16.7%*
Capex (non-GAAP)/Sales	*30.7%*	*24.7%*	*36.6%*	*41.5%*	*42.6%*	*42.1%*	*27.4%*	*16.6%*	*16.7%*
Capex/depreciation	2.1x	1.9x	3.4x	4.1x	4.7x	4.5x	2.2x	1.4x	1.4x
Op. Profit/Capex	0.9x	1.0x	0.5x	0.5x	0.4x	0.4x	0.9x	1.5x	1.5x
Free Cash Flow ($m)	756	871	-1,414	-2,332	-3,150	-3,766	770	2,329	2,553
Free Cash Conversion	*34%*	*37%*	*-57%*	*-84%*	*-105%*	*-132%*	*24%*	*66%*	*66%*
Net Debt ($m)	**1,550**	**1,836**	**4,271**	**8,357**	**11,243**	**15,842**	**15,620**	**14,719**	**13,629**
Net Debt/EBITDA	0.4x	0.5x	1.0x	1.8x	2.2x	3.1x	2.9x	2.5x	2.1x

Source: Company information, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

			16 Jul 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Price	Rel.							
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
APD (Air Products)	O	USD	297.29	345.00	(19.0)%	USD	12.07	13.28	**14.50**	24.6	22.4	20.5
OLD									14.64			
SPX			7,533.77									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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VALUATION METHODOLOGY

Air Products & Chemicals Inc

We value the gas majors on prospective P/E and regard c.26x FY26E P/E as appropriate for APD, hence our PT of $345. This takes into account the strengths of its gases model, notably with over 50% of sales in contract protected onsite-type operations, and now given new leadership looking to deliver stronger performance. It also takes into account the structural strengthening of the gases industry in recent years helped by consolidation and the evolving clean energy story. But against that, and despite management efforts to de-risk the exposure, we have ongoing concerns over the higher risks associated with APD's megaprojects strategy, which is unique vs peers in its scale and nature.

RISKS

Air Products & Chemicals Inc

Downside – Setbacks in APD's mega-projects strategy continue notably in terms of uncertainties associated with the market development, a supportive regulatory environment, and a continued lack of off-take customers for the key green NEOM and Louisisana blue hydrogen projects. Any fresh setback are likely to have a major impact on the share price (as seen in 2020/21 and 2023/24) and could see the shares down. Net debt/EBITDA is over 2.5x reflecting APD's capex on mega-projects, any sense its financial leverage is stretching too far is likely to results in investor concern, share price impact >$10ps. While we see APD's established business as very resilient with >50% of sales in onsite-type operations but especially under a new CEO since February 2025 if APD was to badly miss EPS guidance relative to peers and see further operational performance setbacks this could hit the share price hard, share price impact >$10ps.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

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- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

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Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

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The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

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The Autonomous brand has three categories of credit ratings:

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Autonomous credit ratings are based on a 6-month time horizon.

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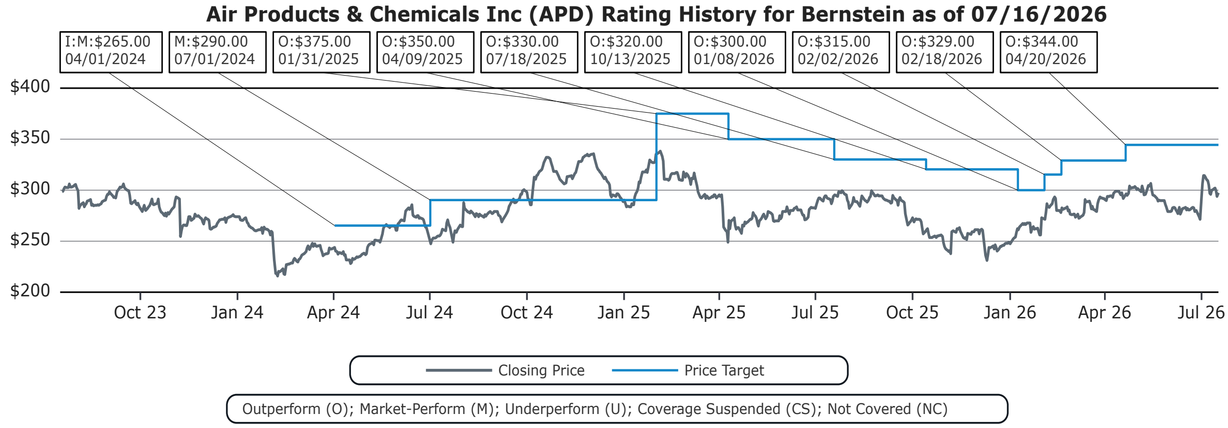
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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